

Ellenbarrie Indl.Gas (ELLEN)

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Call: Aug 2025

August 12, 2025

To

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra
– Kurla Complex, Bandra (E), Mumbai – 400 051

SYMBOL: ELLEN To

BSE Limited

New Trading Ring, 2nd Floor, Rotunda Building, P.J.
Towers, Dalal Street, Mumbai – 400 001

SCRIP CODE: 544421

Sub: Transcript of Conference Call with Analysts / Investors pertaining to the Unaudited Financial Results of the Company for the quarter ended June 30, 2025- Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the Conference call with Analysts / Investors held on August 07, 2025, post declaration of the Unaudited Financial Results for the quarter ended June 30, 2025.

The same has also been disseminated on the website of the Company.

We request you to kindly take the above on records.

Thanking You.

Yours faithfully,

For Ellenbarrie Industrial Gases Limited

Aditya Keshri
Company Secretary and Compliance Officer
Membership No.: A73390

Page 1 of 15

"Ellenbarrie Industrial Gases Limited
Q1 FY '26 Conference Call"
August 07, 2025

MANAGEMENT : MR. PADAM KUMAR AGARWALA – CHAIRMAN AND

MANAGING DIRECTOR -- ELLENBARRIE INDUSTRIAL
GASES LIMITED
M R. VARUN AGARWAL – JOINT MANAGING DIRECTOR
– ELLENBARRIE INDUSTRIAL GASES LIMITED
M R. K. SRINIVAS PRASAD – CHIEF FINANCIAL
OFFICER – ELLENBARRIE INDUSTRIAL GASES LIMITED

Ellenbarrie Industrial Gases Limited.
August 07, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to Ellenbarrie Industrial Gases Limited Q1 FY '26 Conference Call hosted by Raadhi Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

To discuss Q1 and FY '26 business performance, we have with us the senior management team of Ellenbarrie Industrial Gases Ltd, represented by Mr. Padam Kumar Agarwala, Chairman and Managing Director, Mr. Varun Agarwal, Joint Managing Director, and Mr. K. Srinivas Prasad, Chief Financial Officer.

Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. The company also undertakes no obligation to update any forward-looking statements to reflect developments that occur after the statement is made.

Documents relating to the company's financial performance, including investor presentation, have been uploaded on the stock exchange and company's website. I now hand the conference over to Mr. Padam Kumar Agarwala, Chairman and Managing Director. Thank you and over to you, sir.

Padam K. Agarwala: Thank you, Team Raadhi. Dear partners, thank you for joining this call and your interest in Ellenbarrie. This is the first call post listing of the company's shares on major stock exchanges. And I'm very happy to be hosting this. We look forward to your continued engagement. The results for the period ending June are in your hands.

We have had a strong Q1. There is a 24% year-on-year growth in revenue and almost 40% year-on-year growth in EBITDA. EBITDA margins are strong at about 37% and we hope to improve further from there. There has been a ramp-up of recently commissioned facilities at Kurnool and Tata Steel Metaliks Division.

Argon revenue is close to 10% of the total gas revenue. With increased production, the share of Argon in revenue will also increase further, leading to further improvement in margins. We have already achieved more than decent loading of our two newly commissioned facilities.

Growth shall continue with further ramp-up of these two facilities. Additionally, we expect a merchant plant in East India to commence operation in October 2025 and another on-site plant, Forest Steel Mill, in March 2026. We shall continue to look at building additional capacities in merchant and on-site towards furtherance of our core business of ASU gases.

Our focus shall be on geographical expansion as well and we hope to be a Pan-India company very shortly. We are looking at inorganic growth in synergistic areas, acquisition of our cylinder filling assets in Bangalore is a move in that direction. This shall provide value addition to Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 3 of 15

available products from Kurnool. The facility shall be used for secondary distribution of existing available products in the area.

Thank you for your time and attention. Mr. Srinivas, CFO now shall discuss actual numbers and along with our Joint Managing Director, Mr. Varun Agarwal, shall be open for any questions which will come up. Thank you.

K. Srinivas Prasad: Thank you, sir. This is Srinivas, the Chief Financial Officer. A very good evening to you all. As you know, our company got listed on 1st of July. In a way, Q1 is significant being the last of our quarters as an unlisted company. Our results for the quarter ending June 2025 records a growth in revenue of 24% year-on-year basis and an EBITDA growth of 40% over the same period. As you know, EBITDA margin is the key metrics for our kind

of business. It has improved

from 30% of revenue to 37% on an year-on-year basis. This margin expansion can be attributed to few major factors.

One is in-house production of Argon, which happens to be the product with the highest value addition. Simultaneously, Argon revenue, which was only 7% a year ago of our total revenue, has gone up to 9% over the same period, over the last one quarter.

So, the second factor being contribution from new on-site business, which has come up line during last few months. So, in this case, it is Tata Steel Metaliks division.

And the third point which contributes to our margin expansion is volume growth, which is coming from again the ramping up of new capacities, which have been added a couple of quarters back.

Therefore, margin expansion is happening on a sustainable basis, as you can see. We see that Q2 revenue and margins expanding further as the projects once again ramp up. And in the second half of the year, once the proposed two new projects are commissioned, we expect the second half to be even better than the first half.

Growth momentum is expected to continue going forward with more projects coming online over the next few quarters. Coming to the capital work in progress, as of now we have a position of about INR52 crores, and we are committed to spend around INR250 crores over the next 1.5 years.

In terms of IPO proceeds, which we received in the first week of July, we have started deploying the funds towards the objects of the IPO. We have already spent, the company has already repaid about INR210 crores borrowings in the first week of July, most of it being long-term borrowings.

So with a strong unlevered balance sheet, the road is open for taking up new capital expenditures and new capacity creation.

Thank you. We are now open for a question-answer event.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. First question is from the line of Dayanand Mittal from JM Financial. Please go ahead.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 4 of 15

Dayanand Mittal: Yes. Good evening, Padam ji, Varun ji and Srinivas ji. Thanks for that brief summary of your results. My first question is around just a quick wrap-up of your project updates. You briefly summarized, but if you can just take us maybe project-by-project in terms of Kurnool, how is the utilization currently and by when do you expect it to reach maybe optimum utilization of 90%, 95%? That's one.

And the other two projects broad timeline in terms of commissioning. You mentioned it, but yes, in terms of ramp-up as well as guidance, by when do you see it reaching to optimum utilization? Would it be 2 years or longer? If you can give those details and then what kind of volume growth we can envisage over the next 2, 3 year period? That would be my first question.

Varun Agarwal: Thanks, Dayanand, for that question. So, basically all of our facilities apart from the Kurnool plant are running at full capacity utilization. The Kurnool plant, ramp-up is happening currently as on Q1, it was about 60% to 65%. Q2 capacity utilization will be significantly higher than Q1.

And we would expect this plant to reach sort of the optimum capacity utilization of about 85%, 90%, maybe sort of in the second half of this year. In terms of the new projects, that are coming up, so as we mentioned, we have a merchant plant in eastern India, which will be up and running in October of this year. We have an onsite plant, which is coming up in Q4 of this year. And then we have a merchant plant in North India, which will be up and running in end of Q1 of next financial year.

Now, when it comes to ramp-up of these plants, the way that the business model works for onsite plants is that we, from day one itself, have a take-or-pay arrangement with the off-taker for whom we set up the capacity. So, in that sense, for an onsite plant, the capacity ut

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becomes irrelevant because the revenues of the company are guaranteed from that plant.

When it comes to merchant plants, we typically take about an 18 to 24-month ramp-up period.

So, let's say if a plant is starting in October of 2025, we would expect the entire capacity to be utilized by, say, March of 2027. Similarly, the plant which will start in the next financial year, again, will take about 18 to 24 months to ramp-up.

Now, if we sort of put this all together, I would say that, in terms of revenue growth, the kind of revenue growth that we shared Q1 to Q1, which was about 25%, we definitely expect at least this level of revenue growth to continue. As we keep adding more capacity, the revenue growth will sort of keep coming through. So, we definitely think that for the next two to three financial years, there's a strong growth runway for us.

Dayanand Mittal: Thanks, Padamji, for the answer. Second thing, in terms of your aspiration to become a Pan India player, if you can just detail a bit more about the acquisition which you did, how it improves your business model in the South, and also in terms of future plans, in case you may like to

disclose now or else it's fine, about how do you want to get into the Western part of the country or a geography that you may have a plan to?

Varun Agarwal: Yes, so this acquisition actually is, of course, it's quite a small acquisition, but in terms of and it's, the outlay is only about Rs. 5.5 crores. But what it does is, it gives us a good penetration into the Bangalore market. Now, why that is important for us is because our Kurnool plant, which is Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 5 of 15

located halfway between Hyderabad and Bangalore, ultimately, we have to sell this product to these two key markets.

So, having a local presence in Bangalore allows us to do a lot more value addition with our production. Sometimes also what happens is, customers want a full variety of gases, not just liquefied gases, but cylinder gases. So, having a local cylinder filling station in Bangalore will allow us to cater to those kinds of customers.

It also allows us to cater to medical customers because, medical customers, because it's a life and death kind of situation when it comes to oxygen (medical oxygen). So, they don't want to take supplies from someone who's located, you know, 200-300 kilometers away. So, having a local presence in Bangalore again helps us target the medical customers as well. So, in that sense, it's a very strategic kind of complementary acquisition for us to sort of add more value and load up our Kurnool facility.

In terms of becoming an All India player, of course, you know, we have something coming up in North. We are actively looking at something in the West as well. And, at the appropriate time, we will, of course, make the necessary announcement, with respect to that. But currently, it is still in the drawing board stage. So, nothing really that we can talk about at this moment. But definitely, you should expect an announcement from us fairly soon.

Dayanand Mittal: Thank you. The last question is on argon. So, you mentioned your revenue from Argon this quarter was around 9% to 10%, from 7%, I think Y.O.Y, if I'm correct. So, how do you see this ramping up, let's say, over by, let's say, FY26, let's say, FY27. So, next two/three years, how it could go, where do you see it ramping up to and what could be the peak revenue from argon, let's say, when everything is at optimum utilization?

Varun Agarwal: So, I think we would look at an Argon revenue of somewhere in the region of about 15 odd percent. That's 15% plus, you know, when all this capacity sort of kicks in. And, of course, you know, having a 15% plus contribution from Argon would obviously also feed into the EBITDA margins to some extent. So, I think one of our key strategies going forward is to actually really focus on our ma

rketing and sort of value addition when it comes to Argon.

Dayanand Mittal: Thanks, Padam ji. Thanks for the detailed answers.

Moderator: Thank you. Next question is from the line of Raman KV from Sequent Investments. Please go ahead.

Raman KV: Hello, sir. Thank you for allowing me to ask question. So, first, I have two questions. One is with respect to the capacity. Can you give the current capacity figures and capacity figures for FY25 end and FY for the current quarter, as well as how much capacity will be coming up by the end of this year?

Varun Agarwal: Sure. So, as on FY25 end, we were at 1,370 tons per day. That's 1,370. When we talk about the capacity, this we are talking of capacity of liquid oxygen, liquid nitrogen, liquid argon, as well as the gaseous oxygen production (for owned onsite plants). All of this put together is about Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 6 of 15

1,370 tons per day, which is owned and operated by us. We have not added any new capacity in Q1. However, we have capacity additions which are planned in the second half of this year.

So, that will take our capacity as on end of FY26 from 1,370 tons per day to 1,910 tons per day. And basis the project that we are currently constructing and sort of planning. FY27 capacity would be 2,130 tons per day.

Raman KV: 21?

Varun Agarwal: 2,130 tons per day is what we have planned in FY27. Now, of course, if we do announce any new projects, there could be an upside to this number. But currently, basis what we are currently sort of executing and planning. It is 2,130 tons per day. So, 1,370 becomes 1,910 and 1910 becomes 2,130. So, that is the evolution over FY25, FY26 and FY27.

Raman KV: Okay, sir. Understood. So, just a follow up with respect to your new capacity coming. So, from the presentation, I can see there are three new capacities coming, two in West Bengal and one with respect to North India, right?

Varun Agarwal: That's right.

Raman KV: And so, what about the other facility which you were talking about, which will be commenced in March 2026?

Varun Agarwal: Yes, that is one out of the three that you have mentioned.

Raman KV: So, that is the North Indian plant, which is with respect to liquid ASU and...

Varun Agarwal: No, that one is the onsite plant, the one which is in March '26. Yes.

Raman KV: And that capacity is 2,050 tons per day.

Varun Agarwal: That one is 320 tons per day.

Raman KV: Okay, sir. So, and my second and final question is with respect to TAM, sir. I just wanted to understand what is the total addressable market with respect to, the business which we are in?

And if you can, can you please provide the breakup between different gases, if it's possible?

Varun Agarwal: Sure. So, and let me just fetch that. So, basically, I think the total market size is about, roughly about 14,000 crores to 15,000 crores. And that is largely driven by the three air gases, oxygen, nitrogen and argon. Oxygen is, I would say the largest share, about close to about 40% basis the last. Basis these figures are basis report, which was commissioned by Frost and Sullivan at the time of our IPO. So, oxygen is the largest, and then nitrogen, followed by argon.

Raman KV: Okay, sir. So, just one doubt, this Kurnool facility, which is in Andhra Pradesh, is this started operational, or will it be operational in the second half as well?

Varun Agarwal: No, this is operational. We started this in the, in fact, in the second half of the last financial year. But typically, these plants take time to ramp up because we need to sort of sign up contracts with Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 7 of 15

new customers. So, what's happening is that every quarter, the revenue which is being generated from this plant is increasing until we reach the optimum capacity utilization.

So, currently, we are at about 60% to 65% capacity utilization in this plant. And, you know

, as

we increase that, which we are doing every quarter, as we keep increasing that capacity utilization, the revenues from that plant will keep increasing until we sort of reach that 90%, 95% level.

Raman KV: And, sir, I just have one doubt with respect to this, the difference between onsite facility and bulk distribution facility. What's the difference between both of them?

Varun Agarwal: So, onsite facility is basically a plant where we set up the plant inside the premises of a customer. And we supply gases via pipeline to that customer. Sometimes in case of an onsite, we can set up a plant which is larger than the demand of the customer inside whose factory we have set up our plant.

In that case, the surplus production that we are generating, so that is the onsite model. The merchant model is where we sort of buy a piece of land, we set up a plant, and we market it to the production to, let's say, 300, 400 customers over a 500-kilometer radius. So, that's the basic model. One is inside the customer's premises, and one is an independent plant.

Raman KV: Okay. Thank you, sir.

Moderator: Thank you. Next question is from the line of Gautam Rajesh from Leo Capital. Please go ahead.

Gautam Rajesh: Hi, sir. Good evening. Thank you for the opportunity. I had two questions. My first question was, what sort of market share do we have in our core products? And who would be our key competitors? That would be my first question, sir.

Varun Agarwal: So, we have a market share currently of, I would say, about 4 odd percent. So, very, very small market share, which means that there is a lot of room for us to grow. Our key competitors would be large MNC companies, such as Linde, who is sort of the listed peer and the largest competitor, and also Inox Air Products.

So, these two would be the largest players in this industry in terms of market share. There are a few other MNC players as well, but these two are the largest. And we would be sort of the fourth or fifth largest company in the country.

Gautam Rajesh: Sir, what would be their market share? First one was Linde, right?

Varun Agarwal: Sorry?

Gautam Rajesh: What would be their market share? Inox Air Products and the first one, I couldn't get the first one.

Varun Agarwal: The first one is Linde India. So, Linde and Inox would each be at, I mean, somewhere close to about 25% each.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 8 of 15

Gautam Rajesh: Understood. Okay. And my next question was, what sort of growth and margin is the company

targeting over the next, let's say, three to four years?

Varun Agarwal: So, look, first I'll answer the question on margins. I think our margins were about 37% in terms of EBITDA. We don't expect these margins to go down. In fact, as we sort of build up more capacities, have higher argon production, more onsite plants, we would expect to at least maintain these margins with a sort of potential upside to these EBITDA margin numbers. In terms of growth, revenue growth, last year, I mean, if you compare the Q1 versus Q1 numbers, so it's about a 25% year-on-year growth. I think we are fairly with the sort of pipeline that we have in terms of our plants that we are setting up, the capacities that we are rolling out and the kind of capacities that we are currently, which are on the drawing board stage. But, of course, some of these will be finalized going forward. We are fairly confident of maintaining at least this growth, if not higher, over the next at least two to three years.

Gautam Rajesh: Understood. They're saying that the current 25% growth Q-o-Q, you can based on your existing, you can maintain for two to three years at least?

Varun Agarwal: Yes and I'm talking about annual growth numbers, because sometimes quarter-on-quarter, it doesn't give you a very accurate picture because the growth will come sort of in, its growth is lumpy like when a new plant gets commissioned, then y

ou'll see significant growth. So I think probably a year-on-year is a better way to look at it.

Gautam Rajesh: Understood. Thank you. That would be from my side. All the best.

Varun Agarwal: Thank you.

Moderator: Thank you. Next question is from the line of Suvaan Mittal from MFC. Please go ahead.

Suvaan Mittal: Hello, sir. Thank you for the opportunity. I have two questions, mainly the first being from the DRHP is that over the due course of three years of FY24-23-22, our power expense in 2022 was 26% and then it shoot up till 36 and then 2024 it is back to 28. In FY23, we had a sudden surge in that. So if you could give some reason as to what was the reason, because it's a major cost and do we anticipate such incidents in the coming FYs?

Padam K. Agarwala: No, I think, look, sorry, go ahead.

Management: Can you please repeat, Suvaan, you are talking about which year?

Suvaan Mittal: For power expenses in fiscal 23, it was around INR73 crores, which is 36% of the revenue. And in FY22, it was 26%. So it was like a considerable jump. And we are already having a higher EBITDA margin, so the only thing which can affect is the power expenses. So do we anticipate such a surge and if you could give some color as to why was the surge in FY23?

Management: Yes, you're right. I mean, as you know, power is our basic raw material for us, for our industry. And 23-24, there must have been some tariff increase, especially in the South, which does typically increase the power cost, but at the same time, we try to, over a long period, we try to Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 9 of 15

optimize that to purchase off from the exchange, power from the exchange which normally comes at a discount.

And also on a long-term basis, sustainable basis we take actions to improve the power cost by better utilization of the loading of the plant and those kind of things. So 23-24, I remember there was some spike in power in the South.

Suvaan Mittal: It was between FY22 and 23. Like from 26% it increased by 12 odd percentage to 36%. In fact, for 23-24, it decreased from 36 to 28, but from 22-23, it increased by 12 odd basis points, 12 percentage points?

Varun Agarwal: No, I think one more thing which I'd like to add is that the new capacities that we have recently commissioned as well as the ones that are currently under construction, those are significantly more efficient in terms of power consumption. So, I'm answering the second half of your question where is there a risk of this kind of jump happening again.

And you'll see gradually that the power cost as a percentage of revenue will actually sort of trend down to lower levels just because of the greater efficiency of the plants. Regarding your question on FY23, maybe we'll be able to get back to you post this call.

Management: One major factor was 21-22 was a COVID-affected year when the revenue was much higher than the going level of prices. So, that's why, I mean, it's a misnomer to look at power cost as a percentage of revenue. The average realization was much higher in 21-22.

Suvaan Mittal: Okay. So, my second question being we have mainly been a company operating in oxygen and nitrogen and now you have been stating that argon can contribute significantly up to 15%. But in terms of TAM, hydrogen also has a good amount of market size. So, do we expect any further additions or contributions from hydrogen as a gas in the coming like 3 year, 5 year period over long-term perspective?

Padam K. Agarwala: As of now, we are not much into the hydrogen as you perceive, which is more related to non-conventional energy and green economy and so on. Of course, hydrogen is produced by way of electrolysis. So, this is the same method which is used for production of green hydrogen. As of

now, this plant capacity is small and we are just testing the waters before actually making a major entry into this business.
Our present custom

ers are different from the buyers or manufacturers of green hydrogen. We would generally supply to power plants and Vanaspati units and so on. Going forward, yes, hydrogen appears to be a promising market and I would say for us it is more of a pilot project. We will understand the business and moving forward, maybe take some major investment decisions after we are sure of what we want to do.

Suvaan Mittal: Okay, sir. Thank you. That's it.

Moderator: Thank you. Next question is from the line of Parikshit Kabra from Pkeday. Please go ahead.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 10 of 15

Parikshit Kabra: Hi. Thank you for the opportunity. My first question is a very basic one. Your slide shows that your capacity, operational capacity is 3,800 odd TPD. But earlier in the presentation, you said that your current capacity is only about, I think 1370 going to 1910. So, how are you segregating the two numbers? Can you please explain that?

Varun Agarwal: So, Parikshit, there is just one difference between the two numbers. There is a 2,500 tons per day plant which is being operated by us, which is coming in that larger figure. Whereas the figure that I am mentioning, the 1370 figure, those are plants which are owned and operated by us.

So, those are the plants on our balance sheet, the 1370 tons per day. In addition, there is a 2,500 tons per day plant which we operate, but which is not on our balance sheet. So, for the purposes of DRHP, we had to include it in our production capacity, because it is effectively a capacity which is operated by us. However, the true capacity which is owned and operated by us on our balance sheet is 1370 tons per day. That is the difference between the two figures.

Parikshit Kabra: Got it. But essentially, this 2,500 TPD plant, you are operating and earning revenue from. So, from a revenue generation perspective, I should look at 3,800 tons TPD as the correct number?

Varun Agarwal: So we are earning a revenue, but here again the revenue what we earn is a fixed fee every month. It is not, let us say, we are not earning double the revenue of 1,300 just from this one plant. So, it is a bit misleading in that sense. The revenue is not proportionate to the capacity here.

Parikshit Kabra: Got it. Understood. So, my second question is, sorry -- the second question I had was in terms of your approach to how you are trying to build out your facilities, you are trying to become a pan India company. I was wondering whether this is more of a geographical play and so rather having a cluster approach and going on to particular areas might be a more prudent approach. I just want to hear your thoughts on that?

Varun Agarwal: No, you are right. I think there is a benefit of having multiple plants in a cluster and that is what we have been doing. So, while we are looking at becoming a pan India player, at the same time, it is not that we are ignoring the geographies that we are already strong in. Now, there are a couple of reasons to ultimately want to become a pan India player because, for example, the Western part of the country is where a lot of industrial growth is happening.

And by not being present there, we have actually realized that that is actually a significant disadvantage because we are missing out on a lot of new business opportunities that are coming up in Western India. So, at some point, of course, we do want to be an all India company and now that we have achieved certain critical mass, at least in our home geographies of East and South.

We felt that it was prudent to actually now take a step into North to begin with and we are also currently evaluating something in the West and we feel this is the correct time because the balance sheet is strong. The company is a lot more visible as a brand, especially post IPO. So, we felt this is the right time to embark on this pan India expansion.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 11 of 15

Parikshit Kabra: Perfect. Thank you so much. And the last question I had is Linde gets the technology from their global company. Inox also has a partnership with a global company. Where do you get your technology from and how do you compete with these MNCs? Of course, they are much larger, but what is your right to win here?

Padam K. Agarwala: We have our own in-house team who keep track of the global developments in terms of production technology. Our team, they keep themselves updated and generally the engineering team would be able to take care of any challenges in this direction without any external support.

Parikshit Kabra: Got it. So, you are saying our technology is in-house completely?

Padam K. Agarwala: Absolutely.

Parikshit Kabra: And we are able to compete with Linde and Inox with their foreign technological stack and technology stack and still beat them like what is our right to win here? Are we better than them in pricing?

Padam K. Agarwala: I wouldn't say that we still beat them. We are generally, I would say it's a situation of coexistence. In terms of pricing, generally the market finds the level of the pricing and the current market pricing etcetera leaves us with decent EBITDA margins as you can already see. So, generally, I wouldn't say our prices are lower than Linde or Linde's prices are lower than us. Generally, everybody stays as per the market, the competition is on service and customer connect.

Parikshit Kabra: Got it. Perfect. Thank you so much for your time.

Moderator: Thank you. Next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please go ahead.

Shivkumar Prajapati: Hi, thanks for taking my question. First of all, congratulations to the whole management for the successful IPO. So, my first question is on the seasonality factor, like how all four quarters of a year looks for us and is there any factor of temperature that plays over our cost structure?

I'm asking this question because you gave some clarity on EBITDA margin because if I look at the EBITDA margin, say for FY21, it is 26%, then it goes to 33% next year, then comes down to 16%, then again 23%, and now 34%. And you also highlighted the potential of upside from here. I just want more clarity like what exactly is happening, why these margins are volatile?

Varun Agarwal: So, I think historically, if you see, there was a bit of volatility in this FY21-22 sort of period due to COVID because COVID had pushed up the margins and then post COVID, there was a decline in the margin. So, that's obviously a very one-off and exceptional kind of a scenario. But going forward, if you see FY25, it was around 34%, this quarter it is 37%.

And now this is sort of the steady state margin, which as we had highlighted that as we build up more capacity, as we increase the production of argon, more onsite plants, as the size of the company grows, as the plants get ramped up, all these things will lead to an improvement in the margins.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 12 of 15

And I think if you look at sort of a steady state number for margins, it would be somewhere around this number or maybe a couple of percentage points higher, and that's when we sort of become of a reasonable size where we can sort of maintain these margins. Your first question about the seasonality, there is no seasonality as such in the industry.

However, sometimes there can be quarter on quarter movements in revenue due to maybe certain ad-hoc orders. Maybe we have a division, a project engineering division, where we also sell certain equipment and medical gas pipeline systems. So, booking of those revenues is typically very lumpy. So, those things may lead to quarter on quarter differences. But broadly, if you compare year on year, you should see steady growth over the next several years.

Shivkumar Prajapati: Understood, sir. So,

my next question is around 20% of your revenue comes from the government or PSUs. So, is there any difference between the like difference for the term?

Padam K. Agarwala: Sorry, could you repeat that?

Moderator: Sorry to interrupt. Mr. Prajapati, may I please request you to please repeat your question, sir?

Shivkumar Prajapati: Yes, sure. So, I was thinking around 20% of our revenue comes from government or say PSUs. I just want to understand, does the terms and conditions differ here compared to other entities that we serve? I just want to understand the credit period, the payment cycle?

Varun Agarwal: Sure, sure. So, look, typically, the major difference between a private sector customer and a government customer is the length of the contract. That's the main difference. I think other than that, the payment terms, etcetera are more or less similar. Now, when I say length of the contract, typically, with our private sector customers, we have typical duration of contract is five years. Whereas with public sector customers, it is typically one to two years. So, you know, and then it sort of keeps getting retendered. Having said that, you know, there are a number of public sector customers to whom we have been supplying for, you know, more than a decade. So, it's not that every two years, they change suppliers. But yes, the length of the contract is by the mandatory process, they have to keep doing tenders every one year or two years.

Shivkumar Prajapati: That's helpful. And so my last question is, just want to understand more about the gases that we supply. So, could you please throw some light on the products that we supply, the realizations and the margin?

Varun Agarwal: So, the primary products are the air gases, which means the where the raw material is atmospheric air, we take this air and we split it into oxygen, nitrogen and argon. And these are the three main products. Together, these products account for close to 90% of our revenue. And apart from that, we do supply a few other gases like, you know, acetylene, hydrogen, carbon dioxide, etcetera.

But the main gases continue to be oxygen, nitrogen and argon. Now, in terms of margins, I would say that, you know, oxygen and nitrogen have sort of similar margins, which are slightly lower than the overall EBITDA margin of the company. And argon has a margin which is significantly Ellenbarrie Industrial Gases Limited.
August 07, 2025

Page 13 of 15

higher than the EBITDA margin of the company. So therefore, on a blended basis, that's how we achieve that 37% EBITDA margin.

Shivkumar Prajapati: Got it, sir. Sir, do we supply helium gases?

Varun Agarwal: We do supply helium, yes. But helium is not manufactured in India. All of India's helium is imported.

Moderator: Next question is from the line of Sanjay Nandi from VT Capital.

Sanjay Nandi: Yes. Sir, can you just describe the operating margins which we generate from argon compared to oxygen and nitrogen, if it's possible to quantify that number, sir?

Varun Agarwal: So, you know, without giving a specific number, what we would say is that oxygen and nitrogen are lower margin compared to argon, right? Argon has a significantly higher margin because basically the cost to make all these gases is more or less the same.

But in terms of realization, argon is, you know, three to four x, at least or maybe even higher than oxygen and nitrogen. So therefore, the margin on argon is significantly higher. I would say, you know, one and a half to two times the margin of the blended EBITDA margin of the company.

Sanjay Nandi: And so just one more question from my side, like just to mention the initial conversation, like we are planning to increase our argon sales from 4% or to 15% in the near future, right? So if this would be the margins for the argon, which is like three to four x from the existing oxygen and nitrogen. So then what kind of peak margin can we see, sir, once that argon s

ales shoots up
to 15% of total sales?

Varun Agarwal: See, I think, look, 37 is what we have achieved, right? Now, as I mentioned in our initial comments that we think this is a sustainable margin with some upside from this incremental argon. I think, you know, without giving a specific number, I would say that there is a potential upside to this margin number with increased argon production.

Sanjay Nandi: And, sir, if we compare us with our global peers like Linde's and the [Inaudible 0:49:12], so they are having a market share of 25%-odd as we talk, and we are at 4% talking something like that. So if companies like Linde, they are growing at a CAGR of roughly 7% to 8% on an annual basis. Like what kind of confidence we are getting or what kind of demand drivers are there, sir, which we can foresee as 7%, 8% kind of sales growth going forward, sir?

Varun Agarwal: See, I think one thing is that, you know, as you grow larger, then, you know, that base becomes larger, right? So then the percentage growth to maintain a very high percentage growth becomes more challenging, the larger you grow, in our case, because the base is significantly smaller at only about 4% or so. So the room for us to grow is quite high.

And, you know, given the way that we are adding capacity, I don't think there is a challenge in terms of growth. I think we continue to do significantly higher growth than the industry average.

And, you know, last year as well, if you compare Q1 to Q1, we've done 25%.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 14 of 15

I think we'll continue to grow at those sort of numbers with some upside. You know, so and of course, you know, the fact that we have now a cash surplus on our balance sheet, you know, enables us to put up significant amount of capex to really charge up our growth. So I don't think we'll be at any point, you know, we'll be definitely significantly higher growth than the industry average.

Sanjay Nandi: And for the operating margins as well, sir, we are talking about 37% kind of EBITDA as we talk in Q1, whereas the peers like Linde, they are like touching on margins of up to 30%-odd. So is there any probability of like getting that margin like increased higher from the Linde side or our margins might contract going forward?

Varun Agarwal: Yes, I don't want to comment on Linde. But definitely, you know, I can tell you about our numbers, and we don't expect this margin to really decline. In fact, as I mentioned that, you know, from our perspective, we see this number to sustain, and maybe with a small upside.

Moderator: Participants, please restrict your questions to two participants. If you have a follow up questions, please rejoin the queue. Next question is from the line of Raman KV from Sequent Investments.

Raman KV: I just wanted to understand with respect to for example, let's say we have around 100 tons per day capacity, how much revenue can we do from that particular and how much capex is required?

I just want to understand the unit economics of the business?

Varun Agarwal: So you know, very broadly, of course, like any other industry, you know, 100 tons capacity cost, and a 200 tons capacity cost will not increase proportionately. Right? So let me give you a live example where we are putting up a 220 tons per day capacity. That 220 tons per day capacity is costing us about INR160 crores. Right.

And that has a revenue potential of somewhere in the region of INR100 crores to INR120 crores.

Those are the broad numbers. Now, you know, obviously, 100 tons capacity will not cost half of this, right? So it doesn't work in a linear way.

Raman KV: Oh, okay. I understood. So but from what I can see is that around 400, around 600 tons, roughly about speaking 600 tons capacity is being added from FY '25 to '26. Am I right? So this can potentially improve our revenue by around INR500 crores per year?

Varun Agarwal: No, so there's a distinction

here, Raman, because basically, what I told you is for a merchant market plant, right? For an onsite plant, the way the business model works is that we get a fixed revenue from the captive customer, which is significantly lower because all the costs are borne by the captive consumer as well. So you know, you can extrapolate that for merchant market capacity, but not for onsite capacity.

Onsite capacity, typically, the revenues will be very limited. For example, a 300 tons plant, which we are setting up now, the onsite plant has a revenue potential of only about INR25 crores a year, because all the costs are borne by the onsite customer. So that number goes straight into our margin.

Moderator: Thank you. Next question is from the line of Aditya Arora from P4 Capital.

Ellenbarrie Industrial Gases Limited.

August 07, 2025

Page 15 of 15

Aditya Arora: So, sir, I just basically had one question. When you say your capacity is 100 TPD per day, like what is the split between oxygen, nitrogen and argon between that?

Varun Agarwal: So it depends on how we configure the plant. Typical capacity of an oxygen plant or an air separation plant would be, let's say, you know, about, and this is a very typical kind of a configuration, maybe about 75% or 70% oxygen, 20%-25% nitrogen and about 5% argon. So that's a very typical sort of configuration.

Now argon is something which obviously we want to maximize as much as possible, because that's a high value. But that is restricted, because the quantum of argon and air is also very less. So, you know, those, there are those complications as well when it comes to designing the capacity.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Varun Agarwal: So thank you, all participants for joining and asking a lot of very interesting questions. You know, going public for us is a key milestone for our company. It reflects our commitment to transparency, governance and sustainable value creation.

We acknowledge the responsibilities of being a listed company, and we are committed to upholding high standards of accountability and integrity while delivering sustainable growth and delivering on the commitments that we make. Thank you for your time and attention today. If you have any further queries, please feel free to reach out to our investor relations team. Thank you, everyone.

Moderator: Thank you so much, sir. On behalf of Ellenbarrie Industrial Gases Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

November 14, 2025

To

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra
– Kurla Complex, Bandra (E), Mumbai – 400 051

SYMBOL: ELLEN To

BSE Limited

New Trading Ring, 2nd Floor, Rotunda Building, P.J.
Towers, Dalal Street, Mumbai – 400 001

SCRIP CODE: 544421

Sub: Transcript of Earnings Conference Call with Analysts / Investors pertaining to the Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025- Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the Earnings Conference call with Analysts / Investors held on November 12, 2025, post declaration of the Unaudited Financial Results for the quarter and half year ended September 30, 2025.

We request you to kindly take the above on record.

The same has also been disseminated on the website of the Company.

Thanking You.
Yours faithfully,

For Ellenbarrie Industrial Gases Limited

Aditya Keshri
Company Secretary and Compliance Officer
Membership No.: A73390

"Ellenbarrie Industrial Gases Limited Q2 FY '26 Conference
Call" November 12, 2025
12 November 2025,

Vinita Pandya

Good evening, ladies and gentlemen. Welcome to the Q2FY26 Earnings Conference Call of Ellenbarrie Industrial Gases Limited hosted by Raadhi Advisors and Motilal Oswal. As a reminder, all attendees will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you have any questions, please feel free to press the raise hand button. We'll call you on in turn and unmute your line so you can speak. Please note that this conference is being recorded. Kindly also know that the audio of the earnings call is a corporate material of Ellenbarrie Limited and cannot be copied,

rebroadcasted or attributed in the PR media without specific and written consent of the company.

Please note that anything said on this call that reflects the outlook towards the future, which can be construed as a forward-looking statement, must be reviewed in conjunction with the risk that the company faces. A copy of the disclosure is available on the Investor Relations section of the website as well as on the stock exchanges. To give you an in-depth understanding of the company and answer all your queries, we have from the management side today, Mr. Padam Kumar Agarwala, Chairman and Managing Director, Mr Varun Agarwal, Joint Managing Director and Mr. Srinivas Prasad, Chief Financial Officer.

I now hand over the conference to Mr. Agarwala for his opening remarks. Thank you and over to you, Sir.

Padam Kumar Agarwala

Thank you. Good afternoon, ladies and gentlemen, and thank you for joining us today. We are very pleased to share another good quarter for Ellenbarrie. The second quarter once again highlights the consistency and resilience of our core gases business which continues to be the main driver of our growth and profitability.

To set the context, our reported revenues for the quarter stood at Rs. 892 million, reflecting a 6.7% increase sequentially. On a like for like basis, excluding the one-off project engineering revenue that was part of the base last year, our revenues from

sale of gases grew by nearly 10% year on year. This growth underscores how the gases business serves as a direct proxy for the broader expansion of manufacturing activity in India, and that link remains a fundamental strength of our model.

It is also worth reiterating that the revenues from the Project Engineering division are lumpy. While it contributes periodically, the core business driver will continue to be the gases business.

EBITDA for the quarter stood at rupees 337 million, maintaining a stable margin of 38%, which we view as a clear validation of our operational discipline and cost management, our profit after tax at rupees 367 million, representing a 96% year on year increase, reflects not only the underlying operating strength, but also our continued focus on optimizing capital efficiency and strengthening the balance sheet.

I now handover to Mr Varun Agarwal to go through the results in detail.

Varun Agarwal

Thank you for that. So operationally this quarter marked an important progress for us. We successfully ramped up operations at our Kurnool and Tata Steel Metaliks plants. Our merchant plant in East India is on track to go live end of this month. We also expect to commission our onsite plant in East India by March 2026 followed by another merchant plant in FY27.

These expansions will take our total owned and operated capacity to 1910 tons per day by end of this financial year and over 2100 tons per day by end of next financial year enabling us to serve a more diversified set of industries and geographies .

From a strategic perspective, we continue to pursue a balanced growth agenda, combining organic expansion while remaining fully open to inorganic growth through acquisitions. We are strengthening our distribution infrastructure and focusing on high margin value added gases such as Argon which now contributes 13% of our total revenues. However, prices of Argon which while we are bullish on them in the long term due to structural demand supply issues may exhibit short-term fluctuations. Looking ahead, we remain very optimistic. The Indian industrial gases sector is poised for strong growth driven by demand from steel, pharmaceuticals and chemicals, Healthcare and emerging areas such as semiconductors, green energy and space research. Ellenbarrie, with its 50-year legacy, Pan India ambitions and disciplined capital allocation, is well positioned to capture these opportunities while maintaining financial prudence and shareholder value creation.

We expect to grow at the CAGR of 20 to 25% over the next four to five years in our core gases segment, considering the last full year financial numbers as a base and all this while maintaining EBITDA margins of around 40%.

Since this is a long-term business driven by long-term contracts, we would encourage our investors to look at us from a long term perspective and not look at quarterly aberrations, if any.

Thank you and we now look forward to discuss our outlook and performance in greater detail through the course of this call .

Vinita Pandya

Thank you. We will now open the call for questions. Kindly raise your hand to ask a question. We will unmute your line and as a reminder, we request all participants to restrict themselves to two questions and come back in the queue.

The first question is from the line of Mr. Ashok. Can you please unmute yourself? And go ahead.

Ashok Mithinthi

Yeah. Hi, good afternoon. Thanks for the opportunity and congratulations for the great set of numbers. Sir, my, first question would be, I have two questions actually. The first question would be on the recent GST changes. So would like to understand the recent GST changes, changes will have any the cost pressure impact on us. That's my first question and second question coming to the revenue guidance. As you mentioned at the start of the call, it would be between 20 to 25%, which is a slight change

when compared to the previous guidance given in the initial conference call. So, what we understand is that in the previous call the guidance was about 25% at least revenue growth we are expecting for the next two to three years. So, is there any change in the guidance? If yes and would like to know the reasons behind it, that's it. Thank you very much.

Varun Agarwal

So thank you for that question. So, on your first question on GST changes, so our industry while on the, so we have two segments in the sense that we sell industrial gases and medical gases. While there is no change in the GST on industrial gases, but for products such as medical oxygen, the GST has actually been reduced from 12% to 5%. Making it of course much more affordable to our end use customers and of course this is such a critical product that we manufacture. So, you know we are thankful to the government for recognizing this and bringing down the GST to 5%.

In terms of the revenue guidance, you know our guidance of 20 to 25% is purely on the core gases business, any number which was shared earlier, would have been, you know, with respect to the overall revenues of the company. However, as we mentioned that project engineering revenues tend to be quite lumpy, I would, you know, encourage the investors to track the revenue from gases because that's the core business. And you know, if we add in some revenue from project engineering, then yes, I think what we said earlier continues to remain, but from the core gases business we would get a 20 to 25% CAGR. Anything over and above that is possible with contribution from the project engineering .

Ashok Mithinthi

OK, Sir. Thank you very much. Just to follow up on that, would you throw some light on the on ground demand and outlook on the second-half of the year? Because as we see there are there is a good amount of ramp up of capacities happened. So just would like to know the outlook on the second-half of the year .

Varun Agarwal

So look, in terms of our capacity, you know, we've got whatever our existing capacities are there. Those are more or less, you know, fully ramped up. There's very limited spare capacity that we have . Of course, we are coming up with new capacity which is going to be one at the end of this month and one at the end of the financial year. The capacity which is coming in end of this month, we have good visibility in terms of, you know demand and we expect a quick ramp up of the capacity utilization there because primarily because it's also in one of our core markets in East India and the second capacity which we are coming with at the end of this financial year, that's a Contracted capacity with a single customer where our revenues will not be dependent on the capacity utilization. So, we are not too concerned about the capacity utilization there. It's a sort of a long term contract with a fixed fee every month.

Ashok Mithinthi

OK. OK. Thank you, Sir. So what about the Tata Steel plant commercialization from when it will start?

Varun Agarwal

No, that is already, uh, up and running .

Ashok Mithinthi

That's already up and running. Thank you, Sir. Thank you very much. That's all. I will follow up in the queue, yeah.

Varun Agarwal

Yes, yes.

Vinita Pandya

Participants, to ask a question, please raise your hand.

I have a few questions in the chat. Varun, I'll go ahead with the chat questions. Argon contributed around 10% of revenue last quarter with 37% EBITDA margins. Where does the Argon mix and margin percentage stand now and can it reach till 15% plus of sales with higher margins by FY27?

Varun Agarwal

So Argon was 10%, I think you know we've now reached about 13%. I think long term this number we do expect it to inch up, you know, while we don't want to give specific guidance on Argon margins and Argon contribution, but I think broadly we want to make this comment that yes, this is a focus area for us. We do see long term solid growth in Argon demand. And it will continue to remain a focus area. It is the margins in Argon are definitely higher than our other gases and it is a key driver of our overall EBITDA margins for the company. So, while we are talking of a 40% sort of EBITDA Margin long term and we are already very close to that number, we don't have any specific margin number for Argon except to say that if the margin EBITDA margin for the company as a whole is 40%, then argon EBITDA margins will definitely be higher than 40%, you know, because that's the higher margin product. But more than that, you know we are not sort of commenting on specific product margins on a sort of forecast basis.

Vinita Pandya

Thank you for that answer. The next question is with semiconductor and electronics manufacturing rising in India, are we developing speciality gas grades or supply chains for this segment and what kind of margin percentage can such gases command versus core products?

Varun Agarwal

Sure, so we are gearing ourselves for to cater to these segments, I think, you know, while we tend to put both of these into the same bucket, I think what's happening is that the solar cell part of it is, you know, already happening as we speak. Semiconductors is still going to take a little bit of time before, you know, we get meaningful gases demand from the semiconductor industry, but on the solar cell part of it, we have capabilities to supply ultra high purity gases such as ultra high purity nitrogen, ultra high purity oxygen. There are a few other gases like Silane, like ultra high purity ammonia, ultra high purity nitrous oxide. These gases are typically imported and sold, we are in discussions with multiple solar cell manufacturers with whom we already have existing relationships through supply of certain gases that we manufacture. To provide a holistic solution to them by supplying the remaining Speciality gases through import and sale, and we've also tied up on this account in terms of our supply chain. The margins here, at least for the manufactured products that we are making in house, will be significantly higher than the average company margins. But, however, for traded products, of course, because they are traded products, you know, naturally the margins would not be as high as a manufactured product, but it would still, you know, probably be in somewhat of 15 to 20% kind of a margin on the traded products thing.

Vinita Pandya

Thank you. Thank you for that. Our next question is from Mr. Sumanth Kumar. Sumanth, I've got you on screen. Please unmute yourself and go ahead with your question .

Sumant Kumar

Hi Varun, can you hear me?

Varun Agarwal

Yeah. Hey, Sumant, I can hear you

Sumant Kumar

So Varun, my question is again on opportunity in solar cell value chain we have seen in India is developing and we have higher expansion in that segment. Second is electronic, the semicon value chain is also creating and so.

When you see the two big opportunities, solar cell manufacturing as well as electronic manufacturing value chain, So, what are the key gases you are targeting and how is our plan for these two segment industrial gases going ahead and what is our expansion plan we have?

Varun Agarwal

So our idea is to, you know, so there are two types of gases broadly, right, which which they require. One is the ultra high purity air gases, which means that air separation gases which we are already manufacturing. But in an ultra high purity level of purity, so which means like 99.9999 percent. So we have now built the capability to supply these Ultra high purity levels of gases. The other set of gases are gases like which are not coming from the air, so which we are not manufacturing but which will be either which will predominantly these are imported gases.

So for those, what is important is to have a proper supply chain setup, which means, you know, having warehouses in every region which can cater to the local customers. And we are well on our way to setting some of these up. So, our idea is of course we do see this as a strong growth potential going forward and we've been working on a number of these contracts. We've actually last quarter also closed about 3 contracts in this space and you know the number of inquiries in this space is actually

phenomenal. It's like more than I've ever seen. So yes, this will continue to be focus point for us and You know, you you will definitely expect to hear more news from us, you know, over the course of the rest of this financial year on this side because this is right now a very hot space.

Sumant Kumar

So, can you talk on what other gases is required for separately for solar and solar cell and electro or semi con or electronic manufacturing industry and how what?

Varun Agarwal

Please.

Sumant Kumar

Yeah, totally.

Varun Agarwal

Yeah, so see for solar cell, primarily apart from this, our tri-purity, oxygen and nitrogen, you require silane, you require ammonia, you require nitrous oxide. These are some of the gases. That solar cell companies require when it comes to semiconductors. I believe that the total requirement can stretch to as many as, you know, 40 to 50 different gases.

So you know of course immediate focus area for us is are the solar cell guys and you know we are building capability and storage distribution capability as well as manufacturing capability for some of these gases.

Sumant Kumar

So, so two, two things. One is the current requirement and new trend of requirement of new gases. So, we need to develop our capability in that and expertise in that. So assuming all the cluster and you also see the how the solar panel expansion is happening in India, so the say mid part of India, north part of India, we are already in east side. So where we are seeing a more opportunity and where we are lacking where we in the geographical expansion and also.

Varun Agarwal

Absolutely. I think that, you know, geographical expansion is one of the key focus

area for us now because ultimately we want to be an all India company and you know, we've already started work. On plants outside the core geographies in east and South and you know at the appropriate time, of course, we will make the disclosures, but you know, be rest assured that we are looking at geographical expansion very seriously. We do understand lot of this growth is coming, especially in western India. Some of it is also coming in central India, some in North India. These are the areas where we have historically not been present, but we are actively looking at all these areas and you know there are certain plans in place for us to become a pan India Company, you know, over the next couple of financial years, so that we can capture growth across all regions.

Sumant Kumar

So you were talking about the warehouse and you need a warehouse for importing gas and supply to us, say semi con industry and say maybe solar companies. So are we have all have we started uh making warehouses and planning in our expansion uh stays we are in the warehousing.

Varun Agarwal

Yeah, yeah, yeah. So these warehouses will be built in our, I mean in our plant facility only. It's not like such a huge warehouse for which we need separate land. We will be building it within the within our sort of existing facilities and as well as the expansion facilities in the new geographies, this warehouse has to be basically compliant with all the regulations because a lot of these gases are, you know, quite difficult to handle and so you know those will be built within the expansion projects and in fact, one warehouse we are now starting work in one of our existing locations. So you know, we will basically and this is required for the last mile delivery, you know.

Sumant Kumar

So is there any packaging also in that when we are we are buying from the global market and storing and then packaging it and selling to that your customer?

Varun Agarwal

Uh, this will be in a smaller package than the imported like the imported material will be in bigger sized package, this will be in a smaller sized package typically.

Sumant Kumar

And how logistic will work?

Varun Agarwal

Means that the gas will be imported in that bigger package, in bigger containers .

Sumant Kumar

Local, local, local logistic I'm talking about.

Varun Agarwal

Local, then that it will be sort of transferred into smaller sized containers and then whenever the customer requires then the small sized container will be given to the customer.

Sumant Kumar

See the quantity is lower, so we need to have a say warehouse near to their plant or maybe if the distance is higher maybe that will be the cost will be higher in that case the freight cost.

That will be a challenge, right?

Padam Kumar Agarwala

Well, it all depends on the cost versus payback. So, for small consumptions having a warehouse, again would be, I mean we'll have to look at it from the Cost and payback basis, we are looking at different options on this. So, the business plan is under preparation and maybe we'll have more clarity on exact locations, et cetera in a few months from now, right now we've taken an in principle decision to have warehouses in our existing and upcoming plants. Stand alone warehouses don't justify the business volume .

Sumant Kumar

OK, OK. So we can see in next 3 years, last question, we can see in in next three years we have a decent contribution of solar and electronic segment, electronic manufacturing segment?

Padam Kumar Agarwala

Yeah, we are working on those plans and definitely solar gases, for solar and semi-con would be a bigger part of our kitty in times to come.

Sumant Kumar

OK.

Um.

Oh, thank you. Thank you.

Padam Kumar Agarwal

Thank you.

Vinita Pandya

Thank you. I'll take the next question from the chat. What is the current status of the hydrogen electrolyzer pilot? Any commercial orders or learning so far and what could be the potential margin profile in scale?

Varun Agarwal

Sorry, Vinita, can you repeat that? I couldn't hear you clearly.

Vinita Pandya

Yeah, I'll get it. What is the current status of the hydrogen electrolyzer pilot? Any commercial orders or learnings so far? And what could be the potential margin profile if scaled?

Was that clear?

Varun Agarwal

Yes, yes, it is clear. So, look the hydrogen electrolyzer, you know, while we while it's a pilot, uh, you know, we should also be clear that our view on hydrogen and this, you know the kind of hydrogen business that we want to do is not similar to the

hydrogen business that the sort of large energy companies want to do. For us, hydrogen is a, It's just another gas in our portfolio of gases. We will supply it to, you know, our customers across various industries. Like you know, typically it could be pharmaceutical companies, it could be, you know, edible oil companies. So we are not, we are not in that hydrogen as an energy resource kind of space. Having said that, yes, hydrogen, the hydrogen electrolyzer is also you know, capacity there is being ramped up and of course while it still remains a very small business, but you know this is something that we want to replicate whenever we are setting up our air separation plants in future, we also want to have a hydrogen electrolyzer along with it in the same premises, just because it adds to our kitty of gases. We don't, foresee hydrogen to be a very meaningful contributor to the overall revenue. I think those will still continue to be driven by the air separation gases.

Vinita Pandya

Thank you. That was quite insightful. The next question is Kurnool was around 60 to 65% utilized in Q1. So have we reached 85 to 90% now and are the East India merchant plant and onsite projects still on track for October and March commissioning ?

Varun Agarwal

So yeah, Kurnool is the ramp up has happened beyond 65% which was in Q1. Now we'd be at the number which is, you know, closer to 75-80%. So that's on track as we had alluded enough in opening remarks, . Also, I think in the opening remarks we had mentioned that the Uh merchant plant in the east is expected to commence end of this month. So, there's been about a delay of a month or so. And the East on site expected to commence end of this financial year, the next merchant plant which we had originally guided for, you know, Q2 or so of next year, is now pushed to second-half of next financial year. So, you know we we've seen small delays in terms of execution and I think, you know, I would say that this is one of the key risks. Uh, that

uh, you know any growing business in our sector faces which is you know this small delays in project execution. While it doesn't change the long term trajectory of the business, I think on a shorter term basis you may find that, you know a revenue which was expected to come let's say in Q3 will come in Q4 and things like that. But I think you know as I mentioned, I think the long term growth story is intact. We are putting up capacity and you know, these three plants which we are talking about, the two merchant plants and one on site, that's not the end of the story. We've got a lot more things which are planned and we have a sort of a long term vision of growing at this 20 to 25% in our core gases business, which would require us to set up more plants. So, important thing is to look at it on a longer term basis than a quarter by quarter basis because project implementation may have slight delays, um, depending on the project.

Vinita Pandya

OK. Thank you. Has a site or customer been finalized for the proposed Western India expansion and will it follow a merchant or onsite model?

Varun Agarwal

Uh, so uh, we are looking at West as a merchant model. I think there's significant demand there. A lot of new industries coming in as well. Uh site uh for the plant has more or less been finalized, but I think we are not in a position to make an announcement yet because it's not been sort of 100% finalized, but I'm hoping that next time we speak to the investors we will be able to share that exact location .

Vinita Pandya

OK. The next question is for the new 220 TPD plant, earlier guidance was around 160 crore capex for 100 to 120 crore annual revenue. Does that ratio still hold or are newer designs improving returns and power efficiency?

Varun Agarwal

So, I think this 220 plant is anyway, you know, about to be commissioned. So, you know Capex is obviously frozen revenue from that plant. I think the revenue potential of 100 plus crores you know still holds. So, I don't think there's any significant change in terms of new design or anything like that, and as I said, the Capex is more of most of the Capex is already been done and, you know, we expect to Commission the and get the production by the end of this month. We've in fact also received, you know, for us the power connection is the sort of mean, It's a, significant milestone in terms of our commissioning the plant power connection. You know we before that we only get this construction power. So, we've also received the plant power connection and you know now it's you know just a matter of, you know, connecting everything up together and pressing the start button basically.

Vinita Pandya

OK. The next question is there is some delay in execution of North India capacity as in the Q1 con call you said Q1 FY27, but in the Q2 PPT you mentioned H2 FY27.

Varun Agarwal

Yes, that's correct. And I I sort of covered that earlier in my earlier answer as well. There is a slight delay and as I mentioned that you know uh when it comes to Project execution, you know, while we endeavor to complete all the projects as per the schedule given, but there may be delays, doesn't change the long term outlook of the business. But, on a short term basis it may have a small impact, but long term look we are very confident of not just the not just that one merchant plant of FY27 but. You know, to put up more plants across the country and you know, working actively on setting up multiple capacities.

Vinita Pandya

OK. Thank you. Uh, what is the capacity utilization for Q1 and Q2 for FY26?

Varun Agarwal

So, look broadly, you know we were fully utilized across all our plants except the recently commissioned Kurnool plant and that has gone up, you know, from Q1 to Q2 as I had mentioned in one of my earlier answers. Apart from that, most of our other plants are running at pretty much full capacity.

Vinita Pandya

OK,

What is the reason for falling the revenue on YoY basis and if you can provide location of North India capacity?

Varun Agarwal

So YoY basis, you know as we had mentioned there's a last, last, Q2 of last financial year we had booked a revenue of about 150 million from project engineering, the way project engineering works is that you keep doing, you keep executing a project, this is basically sale of projects to customers sort of like an EPC business. So, you keep doing the work, but then you take the block revenue booking in one particular quarter and so then that quarter looks a little distorted. So, I think the correct way to look at it is to look at the revenue from the core gases business.

So if you strip out that 150 million of revenue from project engineering in the last financial year Q2, then there is a growth in revenue in fact of about, I think close to 10% percent.

Vinita Pandya

OK. Thank you. The next question is since the revenue growth has been around 8% for H1, is H2 going to be much stronger to achieve that 20 to 25% growth?

Varun Agarwal

So, H2 will be stronger, uh, just from the fact that we have new capacity coming in. So, we would expect H2 to be stronger. And again, I want to reiterate that you know this 20 to 25% growth is, slightly longer-term growth CAGR. So, you know, as I said there can be short term aberrations, but given the type of capacities and CapEx that we are planning, you know, this is a longer term growth target which we have, but yes, Q2, sorry, H2 should be better just from the fact that capacity ramp up of existing production should continue and as well as you know, the new capacity should kick in. So, both of those should contribute.

Vinita Pandya

Thank you. What is the management's CAGR vision for revenue and profit growth for next three years? Is it below 25% or above?

Varun Agarwal

So same sort of, you know as I mentioned 20 to 25% is a revenue CAGR over sort of four to five years. I don't think I want to get into like a two year, three-year sort of a number, but I think a long-term guidance is sort of 20 to 25% from the core gases business and an EBITDA margin of around 40%. That's and we are you know on the margin side we are obviously there, there or thereabouts and so the idea is to keep growing the revenue with while maintaining this similar sort of EBITDA. Maybe, that'll inch up a little bit more the EBITDA margin, but near about sphere there.

Vinita Pandya

Thank you for that. Kindly raise your hand to ask a question. Participants, if you have any questions, please raise your hand.

Since, there are no further questions, I would like, sorry, there's one question. Any plans to enter Gujarat or Maharashtra?

Varun Agarwal

Yeah, so we have a plan to enter western India. You know, we can't share the location at this stage precisely, but plans are there to enter western India and, you know, at the appropriate time when we are able to meet the disclosure, we will share it with with you.

Vinita Pandya

Thank you.
Yeah.

Varun Agarwal

Uh, Vinita, you should read this comment also.

Vinita Pandya

Yes, OK, Sumant, you're on screen. You can unmute yourself.

Sumant Kumar

Yeah, Varun, can you talk on Argon gas price decline? How is the trend outlook? What are the key factors to drive going ahead?

Varun Agarwal

I see Argon price decline. I mean if you're comparing between Q1 and Q2, I don't think there is anything, uh, any sort of decline in Argon price, uh, I think long term .

Sumant Kumar

YoY I am talking about?

Varun Agarwal

YOY, see. So Q2 of last year, the argon prices, there was an abnormal spike. So, you know that that was a bit of an aberration in Q2 of last year. But you know, on a normalized basis, that's why I'm saying see quarter on quarter, if we start trying to analyze argon prices, then even we don't have an answer, OK, because we are sort of looking at longer term trends. Rather than quarter on quarter price movements because you know it's like stock market every day you cannot analyze why it moved up or down right. But long-term trend you can give. So, it's like similar thing that we can't give a quarterly why price moved up, why price moved down but longer term yes we continue to remain bullish. You know the reason is very simple. OK, Argon demand is increasing faster than the Argon supply and you know you cannot set up Argon supply, just Argon supply cannot be set up right. Your whatever Argon supply comes is like a byproduct of your oxygen production. So, you know oxygen production growth rate will determine the Argon production growth rate and Argon demand is growing up like very fast you if you know you spoke about that solar cell, now what is the next step for all these solar companies? The next step is all these guys are going to go into ingots. For these ingots, you need huge amount of argon. So structural demand for argon is very strong. Demand is going to outpace supply and that is why long term, you know we remain bullish on argon. But, short term of course see very difficult to say, but again our sales are not purely determined by short term prices, right? So that is another caveat I want to share that ,you know we have contracts also in place. So, you know by short term there may be volatility. We have contracts in place, and you know we are not at 100% of our production. Is not exposed to the short term price movements

Sumant Kumar

But oxygen nitrogen price is also corrected Y-Y basis. So compared to previous year, how's the demand of industrial gases? The demand is there a moderation in demand, that is why the nitrogen oxygen price is corrected .

Varun Agarwal

No, demand is strong, right. We've also see also you know we've got to keep in mind that power prices are also corrected, right. So, power pricing is at the multi-year low. And you know given that even if price is correct, our margin remains protected. Ultimately our goal is to protect the margins. So and you know the nature of the industry is such that the margins will remain protected if. Today, power prices shoot up. If diesel prices shoot up, then our end product cost will also shoot up.

Sumant Kumar

OK. OK, Varun. Thank you.

Varun Agarwal

Thank you.

Vinita Pandya

I'll take the next question. What is the expected growth rate in sales in FY26 as compared to FY25 after addition of new plant? Any exit number you are targeting in terms of turnover for FY26?

If there's any range which you can give.

Varun Agarwal

So look, I think the, you know, just to be consistent, we want to guide on a long-term basis only. I think this is the right way to look at our business. I think there's some, there's a comment. What is the expected?

In case there is more argon to be produced because of increased demand, will it not lead to higher oxygen production and hence lower oxygen prices? So Nikhil, that was

your question and the answer is that you cannot produce more argon, because, I mean, unless there is demand for oxygen, it doesn't work the other way around because you know the quantum of argon which you get is hardly 4 to 5% of the quantity of oxygen that you produce. So, just for that 4-5 percent, you cannot set up a capacity just for that 4-5 percent because then what are you going to do with the rest of the product, which is the bulk of your production and cost. So, it never, it doesn't work the other way. It generally is that OK, whenever there is an Oxygen demand, you set up a capacity and you get argon as a byproduct. From a viability perspective, the other way around does not work. And you know, coming to your

next question about guidance.

Again, yeah, just to be consistent and you know to reiterate, I think we are looking at a long term guidance, you know over four to five years with last year as a base because last year was the last full year number available, based on that full year number, we are looking at a 20 to 25% CAGR just on our core gases business. I don't want to give sort of short term guidance but, I think longer term guidance is intact. We are coming up with new capacities. There are multiple expansions. Of course, three plants are already being constructed. There are multiple more which are on the drawing board which we will keep announcing to you, you know in future quarterly calls. So, you know we are well on our way to achieve that number. We have plans in place, but we would not like to give a quarterly guidance or a sort of half yearly guidance.

Vinita Pandya

Participants, if you want to ask a question, kindly raise your hand.

There's one question.

We are expanding in the western part, so what are our plans to penetrate the market given the already present vendors there?

Varun Agarwal

So yeah, there are, look, vendors are there all over the country, right? But then the point is that the market is also expanding. So, you know if we are able to set up a plant which has efficient cost of production, then there is no reason for us to not be able to capture the increase in the market, right? And then there also there are certain customers with whom we already have relationships in other geographies who have other production in Western India as well, maybe a second plant is there in Western India, those customers there we have direct access, you know we can come in as a second supplier. So, there are multiple strategies of course we are not going to deploy, you know, a significant capital unless we have a fair degree of confidence that we are going to be able to sell the product. So, you know, be rest assured that you know if the market is growing right, there is enough room for capacities to expand and for everyone to get a piece of the market. So it's the problem happens is that the market stops growing. But because our industry is such that it we supplied to a multiple variety of sectors and we are so closely linked with the overall.

Manufacturing growth of the country. So, in that sense we are quite well, we are quite secure. I mean today if there is a collapse in manufacturing across the country. so that's of course a macro India level risk. Then we'll be exposed. But you know, at a micro level we are not exposed to risks because we are diversified and supplying across multiple sectors. So, market is growing, we'll come in, we'll also take a piece of the growth of the market. And anyway, we are not saying that you know on day one we'll sell everything, right. It's a gradual ramp up, which takes 1 1/2 years, two years, and you know that's built into our financial calculations while setting up a plant .

Vinita Pandya

Since there are no further questions.

I would like to hand over the call to the management for their closing comments and one more statement, best of luck, you're a truly visionary leader.

Varun Agarwal

OK. I think that's a good enough closing comment, Vinita. But no, thank you everyone for joining this call. And you know, we look forward to continue this growth journey.

Vinita Pandya

Absolutely.

Varun Agarwal

We'll be happy to, you know, engage with all all the investors on a regular basis to address the queries and you know, thank you for attending the call once again.
Thank you.

Vinita Pandya

Thank you once again for your time and participation. On behalf of Ellenbarrie Industrial Gases, this concludes today's conference. For any questions, please, please feel free to write to us on e-mail IDs mentioned on the invite. We appreciate your engagement. You may now disconnect your lines. Thank you, Varun!
Thank you, Padamji!

stopped transcription

Call: Feb 2026

February 04, 2026
To

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra – Kurla
Complex, Bandra (E), Mumbai – 400 051

SYMBOL: ELLEN To

BSE Limited
New Trading Ring, 2nd Floor, Rotunda Building, P.J. Towers, Dalal
Street, Mumbai – 400 001

SCRIP CODE: 544421

Sub: Transcript of Earnings Conference Call with Analysts / Investors pertaining to the Unaudited Financial Results of the Company for the quarter ended December 31, 2025- Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the Earnings Conference call with Analysts / Investors held on Tuesday, February 03, 2026, post declaration of the Unaudited Financial Results of the Company for the quarter ended December 31, 2025.

We request you to kindly take the above on record.

The same has also been disseminated on the website of the Company.

Thanking You.
Yours faithfully,
For Ellenbarrie Industrial Gases Limited

Aditya Keshri
Company Secretary and Compliance Officer
Membership No.: A73390

Ellenbarrie Industrial Gases Ltd
Q3FY26 Earnings Conference Call
February 03, 2026

Speakers:
Mr. Padam Kumar Agarwala - Chairman and Managing Director
Mr. Varun Agarwal - Joint Managing Director
Mr. K Srinivas Prasad - Chief Financial Officer

Moderator:
Ms. Vinita Pandya (Raadhi Capital)
Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Good afternoon, everyone. We will just start the meeting in a minute or so. Ladies and gentlemen, welcome to the Q3 FY26 earnings conference call of Ellenbarrie Industrial Gases Limited hosted by Radhi Capital. As a reminder, all attendees will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you have any questions, please feel free to press the raise hand button. We'll call on you in turn and unmute your line so you can speak. You can also post your questions in the chat window, and we'll try to answer either during the call or get back to you on email. Please note that this conference is being recorded. Kindly also note that the audio of the earnings call is a corporate material of Ellenbarrie Industrial Gases Limited and cannot be copied or rebroadcasted or attributed in the PR media without specific and written consent of the company. Please note that anything said on this call that reflects the outlook towards the future which can be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces. A copy of the disclosure is available on the investor relations section of the website as well as on the stock exchanges. To give you an in-depth understanding of the company and answer all your queries, we have from the management side today, Mr. Padam Kumar Agarwala, Chairman and Managing Director, Mr. Varun Agarwal, Joint Managing Director and Mr. K Srinivas Prasad, Chief Financial Officer. I now hand over the conference to Mr. Agarwala for his opening remarks. Thank you and over to you sir.

Mr. Padam Kumar Agarwala (Chairman and Managing Director):

Good afternoon, everyone and thank you for joining us. This is the first call of the calendar year, and I wish you all a happy, healthy and safe 2026. We have seen a lot of events on the national and global scene which could not be imagined 5 years back. For the first time, our honourable Finance Minister has presented a budget on a Sunday. Yesterday, we also saw a roll back of the US tariffs which changes the general mood of business and government. The gases industry is also evolving, and we now see a slow shift in focus from metals to renewables, recycling and green energy. Although metals still have a maximum bearing on our business.

Let me start with a quick snapshot of our Q3 performance. For the quarter, Revenue from Operations stood at Rupees 813 million and Total Income was Rupees 974 million. EBITDA at Rupees 253 million translating to an EBITDA margin of 31%. PAT came in at Rupees 261 million. Now while the year-on-year numbers show healthy growth, it is fair to acknowledge that this was a tougher quarter sequentially. Revenue from operations declined 9% quarter on quarter. EBITDA declined 25% and margins moved from 38% in Q2 to 31% in Q3. There were two main drivers. First, we saw low Argon realizations during the quarter. This was largely a function of a softer environment in steel and an oversupply of argon into the market from captive gas

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 3 of

13 plants operated by steel manufacturers. Second, other expenses were elevated compared to Q3 of last year driven by certain one-off costs. Together along with slightly lower sequential volumes due to softness of the steel sector impacted profitability for the quarter.

Looking ahead we remain constructive. First on execution we have commissioned the Uluberia 2 merchant plant in West Bengal, capacity 220 tons per day of liquid products and we are now focused on ramp up and commercial optimization. We are also progressing on the next leg of additions including the East India on-site plant 320 tons per day expected in Q1 FY27 and the North India

bulk plant 220 targeted H2 FY27.

Second, on capital allocation and resilience, we continue to operate with a strong balance sheet. As per our stated position, net cash is at 3,550 million and we remain disciplined on Capex with guidance of rupees 2,500 million in FY26 and rupees 2,000 million in FY27. We are working on multiple expansion projects which will continue to drive the long-term growth of the company. Thirdly, on cost, we are working towards power cost optimization and sustainability by signing up for a renewable energy contract. Since power costs are the single largest item for us, this becomes extremely crucial.

In summary, while the macro environment presented hurdles this quarter, we expect this to now improve with the recent trade deals. Our fundamental business remains resilient. We are committed to our long-term growth trajectory and are confident that our upcoming capacities will drive significant value for our stakeholders. With that, we will now open up for question and answers. Thank you.

Moderator:

Thank you. That's all. We will now open the call for questions. Kindly raise your hand to ask a question. We will unmute your line. And as a reminder, we request all participants to restrict themselves to two questions and come back in the queue. Our first question is from the line of Devika. Devika, please go ahead and ask your question. Devika unmute yourself and please go ahead.

Devika:

I apologize for the technical glitch. First of all, thank you so much for the opportunity. I just wanted to understand like you mentioned about the EBITDA margins, how it declined due to the one-off cost and lower Argon realization in this quarter. I wanted to understand what would be the sustainable EBITDA margin that we see for the business over the medium term. Do we still hold on to the 40% margin aspiration once the argon pricing perhaps normalizes?

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 4 of

13 Mr. Varun Agarwal (Joint Managing Director):

Sure. This is Varun Agarwal. Yes, we do hold on to EBITDA margins of around 40%. This was a weak quarter that we just finished. If you broadly look at the 9-month EBITDA margins on a financial year-to-date basis we are still at about 36%. Why we are guiding towards a 40% EBITDA margin is because the new capacities that come in would be more efficient in terms of the power usage which is the single largest cost for us. I think we are also building up more on-site capacity which will come in which has a higher EBITDA margin profile just in terms of EBITDA as a percentage of revenue. And of course, we do expect Argon prices to normalize which were last quarter significantly hit due to the weakness in the steel sector which led to a supply demand imbalance over the last quarter. So yes, we do hold on to that 40% long-term EBITDA margin profile.

Devika:

Okay sir. And also, sir, if possible, could you just share some colour on the gas volumes across the key gases like oxygen, nitrogen and argon.

Mr. Varun Agarwal:

So, we are not reporting volumes on a gas-wise basis. But it's safe to say that compared to on a year-on-year basis of course there's been an improvement in the volumes however on a sequential basis there has been a very minor decline in the volumes and that's largely again on account of the softness in the steel sector.

Devika:

Okay thank you so much so if I have any questions I'll join back. Thank you.

Moderator:

Thank you. The next question is from the chat. Core gas's growth is around 10% for 9 months versus your 20 to 25% CAGR target. What exit revenue run rate is needed to stay on track?

Mr. Varun Agarwal:

I'll just take this one first. So again our 20-25% CAGR is of course a long-term CAGR and this typically the growth will tend to be a little bit lumpy in the sense that whenever we bring in new capacity that's where you'll see the growth

being pushed forward.

Currently we are at a high degree of capacity utilization and of course the fact that we've got a new capacity that's come online. We'll see hopefully some impact on that this quarter which would actually drive the revenue growth faster than what you've seen so far on a YTD basis.

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 5 of

13 Moderator:

Thank you. What is the current Argon revenue mix percentage and Argon EBITDA margin in this quarter?

Mr. Varun Agarwal:

So, Argon this quarter is close to about 10% in terms of the revenue. The margins

have again we don't report margins on a per gas basis largely because the costs are kind of difficult to break up between each gas because it's the same plant that produces oxygen, nitrogen and argon. But safe to say that with the argon prices declining in the last quarter the margin there has taken a hit. The Argon prices have declined in the last quarter by more than 25%. Again, we don't think this is sustainable. We expect this to improve, and our realizations of course are always higher than the average market price because of the contracts that we have because of the fact that we also do a lot of value addition. We do lot of distribution to the end use customers etc. So, we do expect these prices and margins to improve especially now given that the macro environment is improving the scenario for the steel industry is also improving.

Moderator:

Thank you for that. For the 220 TPD merchant plant 160 crore capex say around 100 to 110 crore revenue potential how much revenue has started and what is the ramp up timeline?

Mr. Varun Agarwal:

So, the plant has been commissioned recently so I think it's very early to comment on how much revenue has started. But typically, we look at an 85% capacity utilization over a period of 18 months from the date of startup. But as I said it's very early to kind of give a revenue impact. But what I can say is that yes, the ramp up is proceeding well. Can't put a number on it though.

Moderator:

Thank you. As a reminder we request all participant to kindly raise your hand to ask a question. Please raise your hand to ask a question. The next question is for solar and speciality gases and western expansion. Can you share signed contracts or committed volumes and expected revenue contribution timeline?

Mr. Varun Agarwal:

So, in terms of our expansion into west in FY28 is what we are expecting our plant along with some high purity and speciality gases facility to come up that's targeted for FY28. Of course, at this stage we can't really share any signed contracts etc. However, we are in discussions with a lot of companies especially in the solar cell manufacturing Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 6 of

13 space and we are seeing good traction a lot of positive interest towards our capacity that's coming up.

Moderator:

Thank you. Is the EBITDA margins squeeze condition same for all peers Linde, Inox others in the industry?

Mr. Varun Agarwal:

So, look we can't obviously comment on their margins, but the pricing is a reality. The fact that the Argon prices were down in Q3. Assuming that they will also be subject to that pricing it would be logical to expect that their margins would also correct but of course we don't want to comment on their numbers specifically and what percentage revenue and margin profile they have with Argon.

Moderator:

Thank you. The next question is from the line of Prashant, please unmute yourself and go ahead.

Prashant:

Yeah. So my question is given that in the presentation you have mentioned that the gas I mean the total market size is around 1.2 million tons of gases and if we work on the basis of the capacity and the 86-87% utilization our production is somewhere around 1,05,000 to 1,10,000 tons which annualized gi

ves around 400,000 tons and a 33% market share is that correct?

Mr. Varun Agarwal:

No, I think there is some gap in the understanding. Prashant, I think our market share is in the sort of mid-single digits.

Prashant:

Okay. So, then what is the total addressable market in terms of tonnage?

Mr. Varun Agarwal:

So, if we look at it from a market size point of view which is probably the better way to look at it in terms of the revenue potential. I think the market available to kind of the gas industry is when we had last done the industry report was somewhere in the region of about 15,000 crores and it was growing at about 10 odd percent on an annualized

basis. This is as per the industry report which was prepared, and which is a part of our IPO documents.

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 7 of

13 Prashant:

Fair enough. So out of this 15,000 crores how much of the market are we addressing or competing in? Because we might not have product for the all the segments of the market. So, what is market available for us to play with?

Mr. Varun Agarwal:

So, look we have historically only been in the eastern and southern regions of the country. So that itself kind of puts us out of a large segment of the market. This is broadly the products to cater to this entire segment because this is basically comprising of the basic industrial gases and not any of the sort of hydro-carbon gases etc. So, this is our you can say the core market for our industry. So, product wise that is the market but we obviously in terms of geographic revenue split etc we are not covering a large part of the country.

Prashant:

Okay, understood. And since the current capacity you maxed out is there any way we can increase the capacity or put up additional units at the existing locations, or do we have to go for green field units only?

Mr. Varun Agarwal:

So basically, for our industry it's very difficult to increase the capacity of an existing plant. So typically, all the expansions are either green field expansions at a new site or potentially you could do a green field expansion at an existing site. In our case for example the recent plant which was commissioned is a green field plant and it's at a site which is adjacent to one of our existing plants. So typically, the way to grow is to add new capacity and that involves doing a project from scratch.

Prashant:

And, wherever we are having captive plants is possible to increase capacity there and use it for a commercial or merchant purposes.

Mr. Varun Agarwal:

It's possible at the time of building the plant. Once the plant is built and has started commenced operations, then it's not really possible. So, we do that typically and in couple of our on-site plants we have set up a plant of a capacity which is higher than what the pipeline customer requires. And the excess product then becomes available for us to sell externally.

Prashant:

Okay. Just to last one in the presentation, you have mentioned that the foreign players are some of our biggest competitors. What would be their market share be like?

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 8 of

13 Mr. Varun Agarwal:

I mean these I would say Linde, Inox and Air Products are all larger than us. And of course, significantly larger with a size of maybe at least some of them are five times our size.

Prashant:

So, if we were to grow, I mean we would have to take the market from unorganized sector?

Mr. Varun Agarwal:

Growth will be driven by of course unorganized sector where we can take market from and also the fact that the industry size itself is growing. So that's itself is the key driver for growth.

Prashant:

Okay. That's all from my side. I wish you all the best.

Moderator:

Thank you. The next question is from the line of Vatsal Bhandari. Vatsal, plea

se

unmute yourself and go ahead.

Vatsal Bhandari:

Good evening, sir. Two questions from my end sir. So, regarding the solar gases we understand that Linde and Inox have been supplying to most of the solar players today and most of these gases are either traded from China or and few are made in India. What is our play over here and how do we plan to compete against the Linde and Inox in this space where they've already won most of the contracts.

Mr. Varun Agarwal:

So, I think they have won a number of the legacy contracts which were on the block. We have also won some contracts. I think going forward given that there is a huge potential in terms of the capacity coming up in solar cell, I think it's fair to say that all of us would get a piece of the pie. It's also fair to say that they will probably get a larger piece of the pie. But given that there is a significant size differential between us and them I think for us even if we get a smaller piece of the pie it still bodes well for our future growth. And you know importing these gases, you're right, most of them are imported from China. The difficult part is not importing the gases but handling them once you bring them to your facility. Because these typically need to be transferred into smaller containers etc. before supplying to the customer and that's going to be a part of our western region facility and that's going to be integrated with a plant that produces high purity oxygen and nitrogen along with a kind of a warehouse and bottling station for these speciality gases as well.

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call

February 03, 2026

Page 9 of

13 Vatsal Bhandari:

So then last question, how does the capex and margins look for the solar gases versus something like for the merchant plants or the onsites? What kind of capex and margins EBITDA margins are there for this business or this segment?

Mr. Varun Agarwal:

See the capex is not very heavy here in terms of solar gases because we are not really going to be manufacturing a lot of them right so it's mostly going to be traded and we need like a effectively just a debulking facility. And again, even in terms of margin profiles for a traded product typically as the size of this solar industry keeps growing which it is at a very rapid pace the margins would become like your typical trading and service in terms of last mile delivery that sort of margin which would be in the teens. It's not going to be at par with the ASU gases because here we are doing the entire manufacturing process whereas there it's only a traded product.

Vatsal Bhandari:

Okay sir. Thank you.

Moderator:

Thank you. The next question is from the line of Ashish Parikh. Ashish, I have unmuted. Please unmute yourself and go ahead. We'll take the question from chat box. Given the steel sector softness, how did your take or pay contracts perform relative to your merchant sales? Did any on-site customers fail to lift their minimum committed volumes this quarter?

Mr. Varun Agarwal:

So, that's a good question. I think there has been a softness in the volumes that they've lifted. Again, it's important to note that when we talk of our volumes, we don't include the on-site volumes here because these contracts are of a take or pay nature where we only recognize the fixed monthly amount that the customer has to pay to us. However, the reduction in their offtake volume although it didn't translate into lower revenues it did give us a kind of firsthand view in terms of the softness of that sector. But as I said it doesn't impact our revenue. That's the nature of the contract the way they are structured.

Moderator:

Thank you. The next question is in the last call you mentioned significant inquiries from the solar cell and semiconductor sectors. Have you converted any of those inquiries into firm contracts during Q3? And what is the status of your supply chain setup fo

r

high purity gases?

Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call

February 03, 2026

Page 10 of

13 Mr. Varun Agarwal:

So, I think some of this we've covered in terms of the supply chain setup for the high

purity gases we have the capability to manufacture the high purity air gases within locally within our facilities. And some of the other gases which go into the solar space would be imported. And we are talking to a number of the solar guys we have signed up with a couple of them. On the semiconductor side of course, we have not yet signed up with anyone but that's still in a more nascent stage compared to the solar space and there we are as I said we've already signed up with a couple of companies and we are actively working with several more and hope to conclude a few more contracts in the coming quarters.

Moderator:

Thank you. The next question is from the line of Ashish.

Mr. Varun Agarwal:

I think the question (from the chat box) is more in terms of the Revenue and EBITDA margins for Q4 and then for FY27.

So, look I think it's important to understand that this business is pretty long-term in nature and lot of growth happens in not on a sort of consistent Q on Q basis but rather it happens in sort of step changes as and when new capacities are operationalized. So, I think while of course we do understand that Q3 was disappointing, but it doesn't really change the long-term trajectory. We are still working on a lot of projects. We've commissioned a project of late. So directionally speaking we are going in the right direction. In terms of a number, I think the only thing which we can guide on is a long-term CAGR rather than a short-term number. But having said that of course in terms of Q4, we do expect some impact to come from the new capacity that we've commissioned. So, we do hope that Q4 would be much better than Q3.

Moderator:

Thank you. The next question is on the East India on-site plant, we noticed that the commissioning timeline had moved to Q1 FY27 versus Q4 FY26 indication shared earlier. Could you help us understand if there were any operational or external factors that led to this shift?

Mr. Varun Agarwal:

So I think this is basically delay of let's say about a couple of months and one of the things that I've mentioned in my previous investor calls as well is that I think the key kind of risk is in terms of executing the projects in a timely manner because largely because all of these typically tend to be green field projects and each one comes with its own set of challenges. So I would say that a couple of months movement in the commissioning of a plant is I won't call that abnormal. Here too I think we are on track for Q1 of FY27 which would mean a couple of months really and for typically for a
Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 11 of

13 project which takes let's say about 15 odd months to commission a month or two delay can happen over the course of the construction of the project.

Moderator:

Thank you. The next question is, Is the worst over? Why are margins down? Any recovery expected in margins?

Mr. Varun Agarwal:

So, we do feel that the worst is over. I think that was kind of captured in the opening comments made by Chairman and I think also why the margins were down etc all of that was covered we don't expect this to sustain. I think our longer-term EBITDA margin targets are closer to 40% and while the previous quarter was in the low 30s, for the year-to-date numbers we are at about 36%. As more capacity comes in which is of better, I mean the newer plants have better economics in terms of their power efficiency etc. We do expect margins to tick up.

Moderator:

Thank you. The next question is from the line of Shubam Todi. Shubam please go ahead.

Shubam Todi:

Yeah, thank you for the opportunity. Sir, I'm a little new to the company. An

d I missed

your remarks on the capex plans of the company. So, could you please briefly explain what are capex plans? What gases are we trying to enter and what kind of potential do we see there?

Mr. Varun Agarwal:

So currently we are talking of three projects which we are undertaking. One is an on-site plant in eastern India. The second one is a merchant plant in Northern India and the third one is a merchant plant along with a sort of a special gases unit is what we

call it in Western India. All of these put together would entail capex over the next couple of years to the tune of about 450 crores and in terms of gases again our core focus would continue to be on the basic air gases which are oxygen, nitrogen, argon and of course we would like to increase our portfolio to some of these speciality gases which are used especially in the solar industry.

Shubam Todi:

Okay and just to follow up on that so when do we expect this plants to be commissioned and what kind of revenue potential is there?

Mr. Varun Agarwal:

So, the first plant which is an on-site plant in eastern India we expect this to be online in Q1 of the next financial year. The merchant plant in North India we expect in the Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 12 of

13 second half of next financial year and the plant in the west along with the speciality gases we are targeting FY28. Given that these three plants would sort of come in a staggered manner while we don't want to comment on revenue from at an individual plant level because that's not something that we report but on a longer term basis we have about a 20 to 25% kind of a growth rate that we expect which of course will be lumpy but given the type of capex and the growth plans that we have that's what we are guiding.

Shubam Todi:

Okay that's it from my side thank you.

Moderator:

Thank you. The next question is you recently commissioned the Uluberia 2 merchant plant. Given the current soft demand environment in East India, how is the capacity utilization ramp up progressing in this new unit?

Mr. Varun Agarwal:

So, look, we it's still very early days but I can tell you that things are moving well. We would expect to while we are talking of an 18 month ramp up for to get to an 85% capacity utilization. Here we've done because this is a market that we are already present in and we have very strong relations with a lot of the large buyers. We would expect to ramp up this production little bit faster than that.

Moderator:

Thank you. The next question is if we intend to commission north India capacity by H2 FY27 and it takes 18 months to commission each of such plants has the construction already begun?

Mr. Varun Agarwal:

So yes and no in the sense that we've ordered the plant. So typically for our industry the longest lead time for or the sort of the real challenge is not in terms of the construction but it's more in terms of the delivery of the equipment and that takes quite a while. So, I think the important thing is that we have ordered the plants and as and when the equipment is ready for shipment the construction the civil work etc. would be done in order to receive it.

Moderator:

Thank you. Can you please provide yearly guidance for FY27 revenue and EBITDA margins?

Mr. Varun Agarwal:

So, you know again we are not giving annual guidance but rather a longer-term guidance. In our industry as I said it's a very much of a long-term kind of a play. All our Ellenbarrie Industrial Gases Ltd | Q3FY26 Earnings Conference Call
February 03, 2026

Page 13 of

13 contracts are also long-term and the way to look at it is on a sort of a longer-term growth trajectory than a quarter-on-quarter kind of a basis. Having said that, of course, because we've got new capacity coming in, I think it's very safe to say that there will be an improvement in terms of the revenue right becaus

e we've got one plant which

has started now which is going to be giving the entire next FY will have some impact from that and the other plant which is starting at the beginning of the next financial year where also majority of the financial year would get a positive impact from that so I think it's only logical to say that there will be a growth. As I said we are not guiding on a quarterly or an annual growth but rather on a long-term growth.

Moderator:

Thank you. Just to confirm the commission timeline for North India is H2 FY27 or H2 CY27 also who do we procure cryogenic equipment from? Do we source it from China or indigenous players like Inox CVA?

Mr. Varun Agarwal:

So, the commissioning timeline is H2 FY27. And in terms of the cryogenic equipment, we so it depends on the equipment. There are certain equipment that we buy domestically including storage tanks and certain equipment that we source internationally. But yes, we do source from indigenous players without specifying a particular name. We do source from indigenous players as well.

Moderator:

Thank you. Please raise your hand or put your question in chat. Since there are no further questions, I would like to thank you once again for your time and participation. On behalf of Ellenbarrie Industrial Gases, this concludes today's conference. For any questions, please feel free to write us on the email ids mentioned on the invite. We appreciate your engagement. You may now disconnect your lines.

Disclaimer:

"This transcript is an edited version of the conference call recording and has been prepared for ease of reading and clarity. Certain immaterial corrections, formatting changes and corrections of obvious transcription or numerical errors may have been made, without changing the overall meaning. Readers are advised to refer to the audio recording and the results filed with the stock exchanges for full details, and the company accepts no responsibility for any remaining errors or for any decisions taken based on this document."

Call: May 2026

May 26, 2026
To

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra – Kurla
Complex, Bandra (E), Mumbai – 400 051

SYMBOL: ELLEN To

BSE Limited
New Trading Ring, 2nd Floor, Rotunda Building, P.J. Towers, Dalal
Street, Mumbai – 400 001

SCRIP CODE: 544421

Sub: Transcript of Earnings Conference Call with Analysts / Investors pertaining to the Audited Financial Results of the Company for the fourth quarter and financial year ended March 31, 2026 - Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the Earnings Conference call with Analysts / Investors held on Monday, May 25, 2026, post declaration of the Audited Financial Results of the Company for the fourth quarter and financial year ended March 31, 2026.

The same has also been disseminated on the website of the Company at <https://ellenbarrie.com/>

We request you to kindly take the above on record.

Thanking You.
Yours faithfully,
For Ellenbarrie Industrial Gases Limited

Aditya Keshri
Company Secretary and Compliance Officer
Membership No.: A73390

Ellenbarrie Industrial Gases Ltd
Q4 and FY26 Earnings Conference Call
May 25, 2026

Speakers:
Mr. Padam Kumar Agarwala - Chairman and Managing Director
Mr. Varun Agarwal - Joint Managing Director
Mr. K Srinivas Prasad - Chief Financial Officer

Moderator :
Ms. Vinita Pandya (Raadhi Capital)

Page 2 of 19 Moderator :

Good evening, ladies and gentlemen. Welcome to the Q4 and FY26 earnings conference call of Ellenbarrie Industrial Gases Limited, hosted by Radhi Capital. As a reminder, all attendees will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. If you have any questions, please feel free to press the raise hand button. We'll call on you in turn and unmute your line so you can speak. Important note, if you need to ask a question, please ensure Microsoft Teams has permission to access your microphone when you log in, otherwise you'll not be able to unmute. Please note that this conference is being recorded. Kindly also note that the audio of the earnings call is a corporate material of Ellenbarrie Industrial Gases Limited and cannot be copied, rebroadcasted, or attributed in the PR media without specific and written consent of the company. Please note that anything said on this call that reflects the outlook towards the future, which can be construed as a forward -looking statement, must be reviewed in conjunction with the risk that the company faces. A copy of the disclosure is available on the investor relations section of the website as well as on the stock exchanges. To give you an in -depth understanding of the company and answer all your queries, we have from the management side today, Mr. Padam Kumar Agarwala, Chairman and Managing Director, Mr. Varun Agarwal, Joint Managing Director, and Mr. K Srinivas Prasad, Chief Financial Officer. I now hand over the conference to Mr. Agarwala for his opening remarks. Thank you and over to you, sir. Mr. Padam Kumar Agarwala (Chairman and Managing Director):

Thank you for joining us today. As this is a full -year call, I'd like to begin with the broader environment in which Ellenbarrie is operating before Varun takes you through the quarterly and annual performance in more detail. The global environment remains uncertain. Across the world, industrial companies continue to operate in a setting shaped by geopolitical tensions, trade policy changes, energy price volatility, inflation concerns, and uneven industrial demand. These are not short -term issues alone. They are now part of the operating backdrop for most manufacturing and infrastructure -linked businesses. At the same time, we do not believe this is an environment for excessive pessimism. It is an environment that requires discipline, flexibility, and a clear view of where structural growth is still taking place. The way we look at it is simple. We cannot control the global cycle. We cannot control commodity prices. We cannot control external demand. But we can control where we allocate capital, how we serve customers, and how we manage costs, and also how we build resilience into business. India continues to stand out in this context. While the global economy remains mixed, India's domestic economy has strong relative resilience. The demand base in India is broadening across manufacturing, infrastructure, metals, chemicals, pharmaceuticals and healthcare, electronics, renewable energy, and new -age industrial sectors. The pace may vary from quarter to quarter, but the direction is constructive.

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 3 of 19 This is important for us because industrial gases are deeply linked through the real economy. Our products are not discretionary inputs. Oxygen, nitrogen, argon, hydrogen, and medical gases are used in production, processing, safety, quality control, and healthcare delivery.

As India builds more factories, more infrastructure, more steel capacity, more chemical and pharmaceutical capacity, more solar and electronics capacity, their need for reliable industrial gases also increases. In that

sense, the gases business remains a proxy for the growth of manufacturing in India. That has always been a core part of our thesis. It is also why we continue to focus on the core gases business rather than looking only at short -term quarterly movement. The end market narrative is also evolving. Historically, metals and steel have been very important end -use industries for the gases sector and they will remain important. Steel fabrication, engineering, and infrastructure activity continue to drive large volumes. But we are also seeing new demand pools emerge. Pharmaceuticals, chemicals, and healthcare continue to require high reliability and high purity.

The renewable energy value chain is becoming more relevant. Solar cell manufacturing, and over time solar ingot and wafer manufacturing, can create demand for high -purity gases and argon. Electronics and semiconductors are still at an early stage in India, but they are strategically important areas. Green energy, recycling, space research, and advanced manufacturing are also opening up new applications. This does not mean that all these sectors will immediately contribute equally. Some opportunities will take

time. Some will require technical capabilities, customer approvals, and supply chain development. But the direction of travel is clear. The industrial gas market is becoming wider, more technical, and more diversified.

For Ellenbarrie, this is a positive development. We have been in this business for several decades. We understand that the sector rewards reliability, proximity to customers, operational discipline, and prudent capital allocation. It is not a business where capacity alone is enough. Customers need assurance of supply. They need consistency. They need safety. They need tech support. They need partners who can deliver during both upcycles and downtrends. This is why our strategy remains focused on building a stronger and broader platform. We are expanding capacity, but we are also expanding our customer base, our geographic reach, and our product capability. We want a balanced portfolio across merchant, packaged, and on-site gases. Each model has a role. Merchant capacity gives us access to wider demand. Packaged gases help us to serve a distributed customer base. On-site plants give us long-term contracts and more stable revenue visibility. We are also conscious that industrial gases is a capital-intensive business. Therefore, growth must be pursued with discipline. The objective is not simply to add capacity. The objective is to add capacity at the right locations, for the right end markets, and with the right cost structure and the right return profile.

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 4 of 19 Power cost remains a critical part of our business model. It is one of the largest input costs for the industry. Therefore, energy efficiency and power cost optimization will remain management priorities. Our renewable energy initiatives are also aligned with this objective over time. Over time, these steps should help improve cost visibility and support the sustainability profile of the business. As we look ahead, we remain cautiously optimistic. We are not assuming that the macro environment will suddenly become easy. We are also not building our plans on the assumption of a strong cyclical rebound. But we do believe that the medium-term opportunity for industrial gases in India remains strong. The reason is that the underlying drivers are structural. Manufacturing activity in India is expanding. Infrastructure creation is continuing. New industrial clusters are developing. Customers are becoming more quality-conscious and reliability-conscious.

Emerging sectors need higher purity and more technical gases. These trends are favourable for organized players with scale, operating history, and customer relationships. For Ellenbarrie

, FY27 will be an important year of execution. Our focus will be on ramping up the capacity that has already been commissioned, bringing the next on-site capacity into operation, deepening customer relationships, maintaining cost discipline, and preserving balance sheet strength. We remain committed to long-term sustainable growth. We continue to invest, but we will do so carefully. We will pursue opportunities, but we will not compromise on discipline. We will remain optimistic about India's industrial growth, but we will also stay realistic about short-term volatility. With that, I would like to thank our employees, customers, partners, and shareholders for their continued support.

I will now hand over to Varun to take you through the quarterly performance, the full-year context, and how we see FY27 shaping up. Thank you.

Mr. Varun Agarwal (Joint Managing Director):

Thank you for your comments. I'll first discuss the Q4 performance and then step back and explain FY26 as a full year and finally talk about how we see FY27 shaping up. So Q4 was an important quarter for us, but it was not a simple quarter to read only through the reported numbers. There were a few moving parts in the quarter. Some were operational, some were timing-related, and some were one-off in nature. Therefore, the right way to look at Q4 is to separate the underlying business trend from the temporary factors that affected the quarter. So, starting with revenue, the core gases business continued to remain the main driver of the company. Demand across our key gases remained linked to the broader industrial environment. Despite the Iran conflict, the revenue from the core gases segment grew 9% sequentially quarter-on-quarter. We started seeing better traction from the newly commissioned capacity and also from our existing customer base.

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 5 of 19 I think the most important event in Q4 for us was the commissioning of the Uluberia 2 merchant plant. This is a 220 tons per day plant in West Bengal, and it's strategically important for us because it adds capacity for us in a market where we already have a

strong customer presence. The plant moved from commissioning into ramp -up and, as we have said earlier, a new merchant plant typically takes time to reach the optimum capacity utilization. Our general assumption is that of an 18 -month ramp -up. However, because this plant is located in one of our established markets and because we already have customer relationships in this region, we believe the ramp -up can be relatively better managed . On profitability , Q4 was impacted by several one -off items. These should not be seen as structural to the business. The more important drivers of margins remain power cost, plant utilization, and argon pricing. If we purely look at the core gases business, this remained robust with FY26 growth coming in at 14.2% over the FY25 numbers. And the gases segment EBITDA margins, if we adjust for the one -off items, touched 40% in Q4 and was 38.4% for the entire FY26 as a whole, which is a growth of 500 basis points from FY25. Argon was the key factor in the second half of the year. In Q3, the argon prices were weak. This was due to a softer steel environment and oversupply from captive gas plants which are operated by steel producers. That had affected our margins in Q3. In Q4, we saw argon prices recover from the Q3 lows. This recovery is encouraging, and we feel that there is scope for further normalization in FY27. It's also, I think, important to clarify that we don't look at argon on a one -quarter basis. Argon prices can fluctuate in the short term, but the long -term demand -supply position structurally for argon remains favourable. Argon is produced as a byproduct of oxygen production.

So, which means that you can't set up a plant only to produce argon. So, s

upply growth

is therefore linked to the oxygen capacity growth, whereas the demand for argon is increasing across industrial applications and also potentially from solar and other emerging sectors. So therefore, we remain constructive in argon over the medium term. Now coming to FY26 as a full year, this was a year in which the underlying business direction remained intact. The reported growth was impacted by timing issues which was mainly the delayed start of our Uluberia 2 plant. In our industry, the growth doesn't happen evenly every quarter. It happens in steps. When a plant is commissioned, the capacity comes into the system, and the revenue starts to scale. During the year, our existing plants continued to operate at high utilization levels. That is a positive because it shows that the demand for our core products remain healthy. But it also means that without new capacity, the growth from our existing assets has natural limits. Therefore, the commissioning and ramp -up of new plants is essential for the next leg of growth. We continue to make progress on this side. We have been expanding our presence beyond our historic core markets. We are working on a new capacity in north India and one in west -central India. Looking ahead to FY27, we believe that the company is

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 6 of 19 entering the year in a stronger position than it entered FY26. The reason is quite straightforward. One plant went live in Q4 of FY26. Another on -site plant is expected to go live in the next month. This means that FY27 should have the benefit of new capacity for a much larger part of the year. The Uluberia 2 merchant plant will continue ramping up throughout the year. The on -site plant in East India should start contributing once it's operational.

And because this is an on -site plant with long -term customer arrangement, the revenue profile is expected to be stable compared to a merchant plant. Therefore, while we are not giving a specific quarterly or annual guidance number, the direction is positive. FY27 will be a year where the capacity additions begin to reflect more meaningfully in revenue. We should also see operating leverage as utilization improves, and if argon continues to recover further, that will support the margin profile as well. So, our priorities for this financial year are clear. First, ramp up Uluberia 2 efficiently and profitably. Second is commission and stabilize the East India on -site plant which is expected in the next month. Third, continue execution on the planned merchant projects while maintaining cost discipline around power, logistics, and capital allocation. So, to summarize, Q4 had some one -offs, but it also marked an important transition with new capacity coming into the system.

The growth for FY26 was impacted by a delayed project commissioning, but the long -term business case remains unchanged. FY27 starts with a stronger capacity base, better visibility on new plant contribution, and improving argon pricing compared with the Q3 FY26 lows. We remain focused on execution and the opportunity is intact. The next step is to convert the commissioned capacity into revenue and then the revenue into margins and cash flows. With that, we can now take questions.

Moderator :

Thank you. We will now open the call for questions. Kindly raise your hand to ask a

question. We will unmute your line. Please announce your name and organization name before you ask a question. And as a reminder, we request all participants to restrict themselves to two questions and come back in the queue. The first question is from the line of Uz air Lari. I'm bringing you on screen. Please unmute yourself and go ahead.

Uzair Lari:

Yeah. Hi. Am I audible?

Moderator :

Yes, you are.

Uzair Lari:

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 7 of 19 Hi, my name is Uzair Lari and I'm from Aveksat Financial Advisory. So, I had a couple of questions. So, first of all, congratulations on good set of numbers. So, first can you share some details on the one -offs which happened in this quarter, like one -time settlement with an on -site customer and impairment on a legacy non -core investment?

Mr. Varun Agarwal:

Yeah, sure. So, the Q4 reported EBITDA was about 260 million and the reported EBITDA margin was about 30%. However, there were three non -recurring items aggregating to about 46 million. Adjusting for these three, the EBITDA would have been 304 million and the margin would have been around 35%. So, the three one -time items were: the first was a one -time provisioning for employee leave encashment which was about 11 million. This is just an accounting provision based on the policy -linked employee benefit obligations. So, it doesn't reflect a recurring operating cost, and it was a one -time catch -up in the quarter. The second was an impairment relating to a legacy non -core investment. It's not connected to the operating gases business, and it relates to an older investment on the balance sheet. The impairment was taken on the basis of our assessment of the recoverability and the fair value. And importantly, this is not reflective of any kind of plant performance or customer demand or gas pricing, etc. The third item was a one -time settlement with an on -site customer for 15 million. This was a specific commercial settlement. It should not be viewed as a part of a recurring on -site margin structure or a recurring cost. Our on -site model continues to remain attractive because it's based on long -term customer arrangements and stable revenue visibility. So, we don't anticipate this kind of a one -off settlement happening going forward. So, if we strip out these three items, the underlying Q4 margin looks materially better than the reported number, and the core gases division, if you look at it from a segment basis, it delivered a segment result margin of 40% in Q4 of FY26 and for the entire financial year of FY26 38.4%.

Uzair Lari:

Okay. So, sir, this one -time settlement with an on -site customer, so I just wanted to know like is the customer still with us or has parted ways?

Mr. Varun Agarwal:

No, the customer is still with us. We have a 15 -year contract with the customer, and this settlement was pertaining to the start -up date of the plant. There was a specific commercial debate, I would say, between us and the customer on the start -up date of the plant, and both the parties amicably we've settled to a particular number and due to which we have taken this 15 million write -off.

Uzair Lari:

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 8 of 19 Okay, understood.

Mr. Varun Agarwal:

But the business continues smoothly. Yeah.

Uzair Lari:

Okay. Understood. And sir, regarding the project engineering vertical, so going ahead, can we expect a significant growth from this vertical or will it be like a muted growth?

Mr. Varun Agarwal:

So, we don't expect significant growth from the project engineering vertical, largely because of the fact that we have significant expansion plans of our own, and our project engineering team is currently fully engaged in execution of our internal projects. And for our internal project execution, we don't generate any kind of billing. Only if there's an external project which is executed, there the project engineering team earns a revenue. And with the capacities that we are coming up with, we don't foresee this team to have enough spare bandwidth to be able to do external projects.

Uzair Lari:

Okay sir, understood. And sir, how do you see the trend in the argon prices going ahead in next few quarters? Can we expect further improvement in argon prices given that also the steel companies are

performing good. So how do you see the trend in argon prices going ahead in next few quarters?

Mr. Varun Agarwal:

So, look, we did see argon prices recover in Q4 compared to Q3, right. But the pricing is still below the first half of FY26. Now argon is obviously important for us because it has higher margins than other gases. But we would encourage to look at argon pricing on an average price for the year rather than keep looking at it on every quarter basis because in short-term this pricing tends to be a little volatile. Having said that, as I said, the pricing has recovered from the Q3 lows, and we expect it to remain robust with significant demand coming in from the steel sector.

Uzair Lari:

Okay sir, understood. And sir, since excuse me...

Moderator :

Requesting you to please come back in the queue. There are many other participants waiting.

Uzair Lari:

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 9 of 19 Sure. Sure. Thank you.

Moderator :

Yeah. The next question is from the line of Vidhan Sada. Vidhan, please go ahead with your question and mention your organization name.

Vidhan Sada:

Hello. Am I audible?

Moderator :

Yes, you are. Please go ahead.

Vidhan Sada:

Yeah. I'm Vidhan Sada from Nirmal Bang Securities. Thank you for the opportunity. So, my question is like we were expecting much better quarter. In Q3, in last call we told that. So, the steel demand was quite good in Q4 of FY26 and still we have not seen argon price recovering. So, what gives you confidence or what factors you see where the argon price will rise from here?

Mr. Varun Agarwal:

No. So, look, Q4 has been operationally a much stronger quarter compared to Q3. As I said, if you adjust for the one-offs, then on a Q3 versus Q4, growth has been about close to 9%. The margin profile, the segment margin on the gases business in Q3 was about close to 35%, in Q4 this has gone up to 40%. So Q4 has been operationally better. Argon pricing has improved in Q4 compared to Q3. But we do feel that the recovery is going to continue into the next financial year, especially if the global geopolitical issues are behind us. We see significant boost coming into the argon pricing and for it to continue to recover from even the Q4 levels.

Vidhan Sada:

Okay sir. And one more query, like, okay the business is lumpy, you cannot say anything quarter-on-quarter, just if I have to see on a 3 years and five years basis, like what are our current capacities and what capacities we are building for future. So how as an investor we can look at our revenue growth?

Mr. Varun Agarwal:

So, I think longer-term revenue growth which we've guided in the past as well is for a 20% CAGR kind of a revenue growth. We have existing capacities which are already up and running of about 900 odd tons per day of merchant capacity and about 700 tons per day of on-site capacity. We expect this to go up from 900 to about 1,130 and the on-site to go up from about 700 to about 1,000 in over the next 12 months. Which itself is a

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 10 of 19 significant jump, and meanwhile, the company is obviously evaluating multiple other projects both on the merchant and on-site in order for us to achieve this sort of 20% CAGR growth rate.

Vidhan Sada:

Thank you for explaining sir. Thank you.

Moderator :

Thank you, Vidhan. The next question is from the line of Bhavika Singh vi. Bhavika, please unmute yourself and go ahead with your question.

Bhavika Singh vi:

Yeah. Thank you for the opportunity. So basically, I have like from the previous question I just want to know that as you say that we are planning to make a bulk capacity to 1,131 and the on-site capacity to 1,800. So just want to understand that how we can expect the utilization of the current installed capacity and what will be the utilization of the

capacity which is going to come, and also can you break down the upcoming facilities which we are planning to install, like where the facility will come and all.

Mr. Varun Agarwal:

Sure. So, look, our existing capacity is, I mean, if we exclude the recently commissioned Uluberia 2 plant, because that's just recently commissioned, it's been a few months, but apart from that plant all our other capacities are fully utilized, right. And that's something which I mentioned in my opening remarks as well, that while that means that, yes, those capacities will keep generating regular cash flows and income. But it also means that for a growth to come in we need to add new capacity, which we have done currently with this 220 tons Uluberia capacity. Now, going forward, in this financial year we expect another 220 tons plant to be commissioned and early next financial year another 250 odd tons plant. So, we have two merchant plants, one in northern India and one in west-central India. These two plants, if we add, I mean, we'll have a combined capacity of about 450 to 500 tons, and that will actually in FY28 take our merchant capacity from the current 900 odd tons to about close to 1,350 tons. And for the on-site of course, we have one plant which is coming up expected to be commissioned next month. This is a 320 tons per day plant. In terms of capacity utilization of the newer projects, for on-site plants, you know we don't really care about the capacity utilization in the sense that the typical contracts for on-site plants are of the nature of a fixed amount, sort of a take or pay fixed amount payable to us. So that revenue is more or less very visible and clear. For the merchant plants, we expect the ramp-up to take about 18 odd months from the date of commissioning. So, from the date of commissioning of any
Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 11 of 19 particular merchant plant, you will see that the revenue contribution typically from that plant will increase every quarter at least for the next 6 to 8 quarters.

Bhavika Singh vi:

And the second question I have is regarding Air Water. As per my understanding they invested in you in 2013 and then they sold their shares to the promoters. So, I just want to understand that what was the reason behind it, and also for the EPC segment where we are getting the project engineering revenue and also because we get our own ASU done by our own team. So just want to understand which technology we use. Do we use the same Air Water technology or we have our own, if you can give clarity on that.

Mr. Varun Agarwal:

Yeah. So, we have our own technology in the sense that we design the plants, and we buy the machines from suppliers across the world, and then our internal team does the putting it all together at the site. So that's something that we do on our own and that's actually one of our main strengths as an independent gas company which is not linked to one of the larger multinational groups, that we are one of the few independent companies that are able to do this. Regarding the Air Water buyback, it was mutually agreed between the partners, and Air Water continues to do business in India in the name of Air Water India, and we continued to do business as an independent company. And it was a mutually agreed decision for various strategic reasons of both the sides.

Bhavika Singhvi:

Okay. Got it. And sir, one more question if I can maybe chip in like, so wanted to understand like because when I look at companies like maybe Linde or Air Water. So, they typically do maybe large size ASUs and for the major bigger size steel plants they only get the orders is what my understanding is. So maybe is it like how is the industry progressing towards maybe midsize players like us? How are we able to maybe get some big size order and also if

you can help us understand more on the competition

side how is that building up, because industrial gases as a category the demand looks quite lucrative, but maybe as of now because a lot of ASUs will come up which might affect pricing, because every ASU player will try to maybe utilize or increase the utilization by maybe reducing the prices and we'll have to maybe when we sell our piped gases or whatever like that. So maybe on that front, pricing in my understanding will get

maybe reduced for some bit of time. So, if you can maybe help us understand or give some more clarity on that side.

Mr. Varun Agarwal:

So, look, our business is primarily driven by long -term contracts. And every year there will be new capacities that come in in terms of supply, but then also there's significant Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 12 of 19 demand also that comes in, right. So just because new capacities are coming in doesn't necessarily mean that there'll be an intensive price war or anything like that, and typically in this industry, because pricing is governed by long -term contracts, these kind of situations don't really happen, so we don't really foresee that there is excessive capacity coming in or that there will be a downward pressure on the pricing. So yes, there is capacity coming in, but we are bringing in capacity and so are our competitors, and there is good amount of demand also coming in, right, so we don't really see that imbalance in demand -supply going forward. And with regards to your earlier question, I think look, we are, yes, you are right that the very large size ASUs we are currently, we don't have any such ASUs operational. Having said that, the size up to which we are able to execute is gradually increasing, right. So earlier let's say if we were doing plants up to 200 tons per day, we've commissioned a year and a half back a plant which is 600 tons per day, and we have the capability to execute plants which are upwards of thousand tons a day as well. So as the size of the organization builds up, the number of plants that we operate, the size of the plants that we operate, the addressable market that we can cater to also will keep increasing because it will not be a situation where we are not in contention for the very large ASUs.

Bhavika Singh vi:

Understood. And sir for the business...

Moderator :

Please, please come back in the queue. There are many participants waiting in the queue. Thank you. Next question is from Vijit Global Securities. Please go ahead and ask your question.

Divya Daga:

Hello. Hi sir, I am Div ya Daga from Vijit Global Securities. I have a couple of questions. My first question is, can you provide me a capex target for FY26 which is 250 crores, but how much of this we have utilized?

Mr. Varun Agarwal:

So we are, I mean, this is a target for the entire year, and it'll keep gradually over the quarters we expect to invest that amount. I can't sort of give you a number for between the start of this quarter till now because it's hardly been like half a quarter. So can't really comment on that, but we expect to utilize the entire amount over the course of the year.

Divya Daga:

Okay, my next question is, can you provide me any unit of economics related to argon and overall business so that it will help me to understand it better?

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 13 of 19 Mr. Varun Agarwal:

Look, I think broadly speaking, for all our products, right, because let's say oxygen, nitrogen, and argon, they all come from the same production line, right? Which is basically an air separation plant. We take in air, and the main cost then to separate the air into these three components is power, and power is the largest cost line item for us. The second line item in terms of cost would be the transp

ortation cost. As you know, we deliver the product to our customers and then followed by other costs like your maintenance cost, the overhead costs for the salaries and the corporate office. So rather than getting into a deep dive on the unit economics, I would suggest that maybe any of the research analysts who cover our stocks, they'll be able to guide you on this in a much more detailed manner.

Divya Daga:

Okay. Thanks so much, sir.

Moderator :

Thank you. The next question is from the line of Anant Sarda. Anant, please unmute yourself and go ahead with your question.

Anant Sarda:

Hi, I'm Anant Sarda from Chhattisgarh Investments Limited. Thank you for the

opportunity. Sir, I would want to know your percentage of renewables, you know, for your merchant plants versus the grid power that you use.

Mr. Varun Agarwal:

Hi Anant.

Anant Sarda :

Hi.

Mr. Varun Agarwal:

So, Anant, we are basically, we have, you can say three sources of power. One is of course the grid power, and our plants in eastern India which typically are in West Bengal, they all operate on grid power because of difficulty in securing open access there. Now coming to the southern region plants, we do a mix of grid power and exchange power. I think typically exchange on any given month we can buy about 50% odd of our requirement from the exchange. We've recently signed up, I think just a couple of quarters ago, a long-term PPA for a wind-solar hybrid plant which will give about 55 to 60% of our power demand for one of our units, one of our factories. It'll provide about 55 to 60% of the power demand there, and that's of course renewable

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call

May 25, 2026

Page 14 of 19 with a long-term PPA. We are looking to sign similar PPAs for our other merchant plants as well. And even for the merchant plants that we are currently building out, we are already, we've started discussions with independent power producers to see how we can sign up a PPA even before the plant goes live.

Anant Sarda :

So just to clarify, out of 911 tons that we make, like out in FY26 you know, like what is the percentage that is there on renewables? Of course, there are some challenges that we have you know, plant-wise it's really hard for us to see you know, and coordinate. So like, can you just tell me the percentage of the 911 tons, and also some kind of target if you have to convert, you know, all the southern area plants to renewable energy completely.

Mr. Varun Agarwal:

Yeah. So, if we break up this 911, so the southern region is approximately about 550 odd tons right. Now, out of that 550 tons, only one plant is where we have signed up with a renewable player which is a 170 tons plant. So, you know, if you look at 170 divided by 900, it's coming to about 18 odd%. Our target is yes, to sign up PPAs for all the three plants in the southern region. And for one of them we are waiting for the government policy to open up for that particular state for wind-solar hybrid, and for the other one, because it's an on-site plant in the premises of one of our customers. So, we are in discussions with the customer and a power producer to figure out some kind of a solution whereby we can get access to renewable energy.

Anant Sarda :

And sir, like what is the difference between the grid pricing and the PPA if you can share that?

Mr. Varun Agarwal:

So, it's a significant difference, I would say. The grid pricing is about 50 to 60% higher than the PPA pricing, and but then having said that, we also buy from the exchange, so which is typically slightly lower than the grid.

Anant Sarda :

Thank you sir and all the best.

Moderator :

Thank you, Anant. The next question is from Tanmay Gadre. Tanmay, please go ahead with your question. Please mention your organization name.

Tanmay Gadre:

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Ear

nings Conference Call

May 25, 2026

Page 15 of 19 Hello. Thank you so much for the opportunity. I am Tanmay Gadre from Aditya Birla Sun Life Pension Fund, and my request is to let me ask three questions instead of two, as all three of them are from different points of view and equally important. So, my first question, so it is more regarding first principles understanding of the business. Yeah, so as you mentioned earlier that we buy machines and then there is a team that does the EPC work building of the ASU plant on site. So, is there any scientific expertise required for this, and if yes, who is responsible for the same in the senior management team. That's my first question.

Mr. Varun Agarwal:

So, I would say yes, there is significant engineering expertise required. These plants that

we set up are both on-site in nature, which means it is set up in the premises of our customers, plus they could be our independent plants which means they are set up in our own premises. And the expertise required is across let's say almost all engineering disciplines. We have a projects team headed by a projects head who is responsible for this. And essentially the whole kind of from starting from the design to the procurement, execution, all of this is done in-house.

Tanmay Gadre:

Okay. Yeah. So, my second question is regarding power. As you have mentioned in the presentation that we have signed 25-year power purchase agreement with a company, and we have also taken a 26% stake for rupees 70.8 million. I wanted to know that, are we planning to acquire this or taking a majority stake in this particular company? And also, as I see in 2016 our power costs were higher compared to what they are today. So is my understanding correct that if we switch to, as I see that as more renewable power and everything grows in India, the overall power cost will decline. So will that help you improve the margins on a decadal basis, on a decadal timeline if I look at, so currently it's around 22%. Can I expect it to go somewhere at 10% and even below that?

Mr. Varun Agarwal:

Look, I can tell you that absolutely you're right that this power cost, the percentage that it costs overall, power cost will keep reducing, and the reason is number one, of course, that due to renewables, due to purchase of exchange power today, we have multiple options where we can reduce the cost compared to the baseline grid tariff, right. So that's one factor. The second factor is also that the plants that we are setting up now are also much more efficient in terms of their power consumption. So, they give a lot more output for every power unit that they consume compared to, let's say, a plant which was set up 15 years ago. Right? So, I think both those factors put together will reduce the power cost as a percentage of revenue. But if you ask me for a specific number, it's hard.

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 16 of 19 for me to guess, but I don't think 10% or something is feasible. It'll probably be definitely directionally it'll go lower, but probably not to hit such a low level like 10%.

Tanmay Gadre:

Okay. Yeah, I understand. So, my last question regarding transport costs. As you mentioned that it is the second largest cost after the power cost. So, I just wanted to understand for bulk transportation what is the maximum radius that within which you operate and are there any sort of advantages in a particular area or disadvantages in another when it comes to competition, and when it comes to overall transportation cost. I just wanted to understand that.

Mr. Varun Agarwal:

So, I think transportation cost is obviously just a function of the distance, right. So generally, we prefer to deliver within a radius of about, let's say, 300 to 400 kilometers from our plant. Of course, we have certain customers that are located even further away.

And there the transport cost gets higher, and we are obviously taking measures to reduce the transport cost by investing in larger capacity tankers where the per unit cost of transport gets reduced because you are able to carry a much larger payload. So, we are working on those things. I think area to area, as such, there is no difference in the transport costs, and with respect to competition, yes, it's there in every area. Certain areas are more competitive than others, but that's something which over time keeps changing. So, I can't really give a broad-based comment on that. But I think broadly the competition profile for every area is different, and sometimes certain areas have lesser competition, but then let's say more capacity will then get added there because there is lesser competition. So, things like that, but I think broadly it's similar across the country.

Tanmay Gadre:

Thank you so much for this opportunity and I wish all the best to the management team.

Thank you.

Moderator :

Thank you. The next question is from Pravin Kumar Yadav. Pravin, please unmute yourself and go ahead.

Pravin Kumar Yadav:

Hello. Am I audible?

Moderator :

Yes, you are.

Pravin Kumar Yadav:

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 17 of 19 Sir, my question is regarding the company's growth strategy. So, I wanted to know about it, like I was reading the PPT and it is written that the company is introducing new gases and new applications for green energy, semiconductor, and electronics. So, I wanted to know about it. Can you please give some colour about it?

Mr. Varun Agarwal:

So the growth strategy, one is of course continuing to build out more plants which produce our core gases, oxygen, nitrogen, argon, and then the other aspect is which you mentioned, the adding of certain other specialty gases which will broaden our portfolio, and we see especially solar cell manufacturing as a significant opportunity. I think the industry is expanding rapidly. And there is potential there to, while they require the basic gases like nitrogen and oxygen, but they also require other specialty gases as we call them, which typically are imported and then debulked and supplied to these customers. And we feel that since we already have the relationships with certain customers, we can increase the size of that relationship by adding these additional gases. And this facility is planned within our west-central India plant. And so that plant will also have this facility where we'll be able to debulk and distribute these specialty gases.

Pravin Kumar Yadav:

Okay. And sir, my second question is like on year-on-year basis our revenue from argon has been from 8% to 10% this quarter. So, I wanted to know where this percentage of revenue from argon will go from here.

Mr. Varun Agarwal:

I think broadly we can, you know, I think slightly longer term if we look at it, we can touch somewhere around 15% is what we expect. Of course, that also depends on the pricing of argon. But I think 15% in a longer term is something which we should be able to achieve.

Pravin Kumar Yadav:

Okay. Okay. Thank you and all the best. Thank you.

Moderator :

Thank you. The next question is from Ashish ParEEK. Ashish, please unmute yourself and go ahead.

Ashish ParEEK:

Ashish, am I audible? Can you hear me?

Moderator :

Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call
May 25, 2026

Page 18 of 19 Yes. Please go ahead.

Ashish ParEEK:

Thank you for the opportunity. Sir, if you see our EBITDA margins in the first half of FY26, there was a bump up before the IPO and margins reached 38%. Thereafter the margins have fallen to 30%. So, what should be the steady state EBITDA margins one should look at going forward from here. And secondly sir, we have added capacity in FY26 and plan to add more. So how will it

translate into our revenue in FY27 and FY28? So, these are my questions. Give us some perspective on realistic perspective on revenue and EBITDA margins for next two years if you could. Thank you.

Mr. Varun Agarwal:

Sure. So, look, our long-term EBITDA margin aspiration is 40%. And there is a reason and we want to clarify what will drive this margin to 40%. See, first of all, the newer capacities that we are adding are much more efficient on power consumption. Power is the largest cost in our business. So that efficient capacity combined with the power costs coming down due to better mix of renewables and private power purchase will actually significantly boost the plant-level economics. I think the second point is that in FY26 the first half argon pricing was significantly higher than the second half, and that's why the point that you mentioned that the margins were higher in the first half was primarily due to that. We expect argon pricing to recover, which it's already on that recovery trend. We expect it to continue to recover, and that will also contribute to some margins. Of course, the third is operating leverage on our new capacities. As we ramp up the merchant capacities, we'll get significant margin improvements, and of course, this quarter was impacted by certain one-offs, but I think if we adjust for these one-offs, the gases segment EBITDA margins were quite healthy. So, we expect this trend to continue. And our target remains to achieve a 40% EBITDA margin in the medium term, and in terms of revenue growth we have consistently maintained that we would target a 20% CAGR in terms of revenue growth, and the capacities that are coming online, even the

one that has come online in the last quarter of the FY26, we have more coming online this year, so all of this will help us achieve that 20% revenue CAGR.

Ashish Par eek:

Sir, could we see that 20% revenue growth in FY27?

Mr. Varun Agarwal:

So, I think your question was over the next 2 to 3 years what we expect, and yes, over the next 2 to 3 years we will definitely look at a 20% revenue CAGR. We don't want to give specific guidance for one particular quarter or a year, but just want to highlight that yes, Ellenbarrie Industrial Gases Ltd | Q4 and FY26 Earnings Conference Call

May 25, 2026

Page 19 of 19 we do have new capacity that has come in, and that will contribute meaningfully to the revenue growth.

Ashish Par eek:

Okay, so thank you so much. Thank you.

Moderator :

Thank you. That was the last question for the day. I now hand over the call to Varun for his closing comments. Thank you and over to you, Varun.

Mr. Varun Agarwal:

Yeah, thanks Vinita. So, thank you everyone for joining the call and for your questions. I think I just want to reiterate that our focus is now on execution. Uluberia 2 has been commissioned successfully and it's ramping up. The East India on-site plant is expected to come online shortly, and this will support our growth as we move through the year.

So, thank you once again for your continued support and we can end the call.

Moderator :

Thank you. Thank you once again for your time and participation. On behalf of Ellenbarrie Industrial Gases Limited, this concludes today's conference. For any question, please feel free to write to us on the email ids mentioned on the invite. We appreciate your engagement. You may now disconnect your lines. Thank you

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